FiinGroup®
ENLIGHTEN THE MARKET

VIETNAM BANKING REPORT 2024

Empowering Sustainability

Issue 9

Date of report

Part of FiinGroup's Market Research Report Series

NHÀ XUẤT BẢN HỒNG ĐỨC

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Date: 31 May, 2024

Dear Our Valued Clients,

Re: The publication of Vietnam Banking Report 2024

FiinGroup, the market research and consulting division of FiinGroup, is pleased to present our Vietnam Banking Report 2024. This publication marks the eighth consecutive year of our annual endeavor to provide the most exhaustive and insightful analysis of the banking sector in Vietnam.

Within this report, we have updated the performance of the Vietnam banking sector, focusing keenly on pivotal indicators such as credit growth, liquidity, asset quality, earnings quality, and operational efficiency. Additionally, our comprehensive analysis encompasses an exploration of key development trends and the prevailing regulatory framework shaping the sector's landscape.

Our research methodology, underpinned by extensive industry expertise and a robust business network, entailed engaging in various discussions with key stakeholders. Through these interactions, we have diligently captured nuanced sector insights, market dynamics, and performance metrics, thereby enriching the depth and relevance of our report.

FiinGroup remains committed to delivering value to our clients and stakeholders, empowering them with the knowledge and foresight essential for informed decision-making in the dynamic landscape of the Vietnam banking sector.

We understand that this is a targeted but also an open study. We would be happy to provide further information to address any questions that you may have on the report.

Should you have any questions, please contact me or our lead analyst of banking sector, Ms. Oanh Tran at +84 (24) 3562 6962 (ext. 105) or her email: oanh.trankieu@fiingroup.vn.

Yours sincerely,

Khieu Duy Hai
Director, Head of Market Research & Consulting
FiinGroup

Abbreviation

NO.	ABBREVIATION	STAND FOR
1	1Q	1 Quarter
2	2H	Second half
3	2M	2 months
4	9M	9 months
5	AI	Artificial Intelligence
6	AMC	Asset Management Company
7	API	Application Programming Interface
8	ASEAN	Association of South East Asian Nations
9	CAGR	Compounded Annual Growth rate
10	C-bonds	Corporate bonds
11	CDs	Certificates of deposits
12	CF	Consumer Finance
13	Cir	Circular
14	Cis	Credit institutions
15	COF	Cost of fund
16	Cons	Consequences
17	CPI	Consumer Price Index
18	CRW	Credit risk weighting
19	eKYC	Electronic Know Your Customer
20	ERP	Enterprise resource planning
21	FinCos	Finance Companies
22	Fis	Financial institutions
23	FY	Fiscal Year
24	Gen AI	Generative AI
25	GSO	General Statistics Office
26	IoT	Internet of Things
27	JCB	Joint Stock Commercial Bank
28	KYC	Know Your Customer
29	M&A	Mergers & Acquisitions

NO.	ABBREVIATION	STAND FOR
30	ML	Machine learning
31	MLT	Medium to Long-term
32	mn	million
33	P2P	Peer-to-Peer
34	PMI	Purchasing Managers' Index
35	Pros	Prospects
36	Q1	First quarter
37	Q2	Second quarter
38	Q3	Third Quarter
39	Q4	Fourth quarter
40	QoQ	Quarter over Quarter
41	RPA	Robotic Processing Automation
42	SBV	State Bank of Vietnam
43	SMBC	Sumitomo Mitsui Banking Corporation
44	SME	Small and Medium Enterprise
45	SOCB	State-Owned Commercial Bank
46	ST	Short-term
47	TOI	Total Operating Income
48	TPP	Third Party Provider
49	trn	trillion
50	US	The United States of America
51	VAMC	Vietnam Asset Management Company
52	VBMA	Vietnam Bond Market Association
53	VND	Viet Nam Dong
54	y	year
55	YOAL	Yield on Average Loans
56	YoY	Year over Year
57	YTD	Year To Date

BANKING REPORT 2024 - RATIO APPENDIX

No.	Ratio	Description	Formula
1	CAR	Capital Adequacy Ratio	(Tier 1 Capital + Tier 2 Capital)/Risk Weighted Assets
2	CASA Deposit Ratio	Current Account Savings Account Deposit Ratio	CASA Deposits/Total Deposits
3	Loan group 2 Ratio	Loan group 2 ratio	Loan group 2/Total outstanding loans
4	LDR	Loan to Deposit	Total Outstanding Loans/Total Deposits
5	LLCR	Loan Loss Coverage Ratio	Loan Loss Reserve/Non-Performing Loans
6	NIM	Net Interest Margin	(Interest Income - Interest Expense)/Weighted Average Interest Earning Assets
7	NII	Net Interest Income	Interest received – Interest paid
8	NPL	Non-performing loans ratio	(Loan group 3+ Loan group 4+ Loan group 5) / Total outstanding loans
9	ROA	Return on Asset	Net Income After Taxes/Weighted Average Total Assets
10	ROE	Return on Equity	Net Income After Taxes/Weighted Average Total Equity

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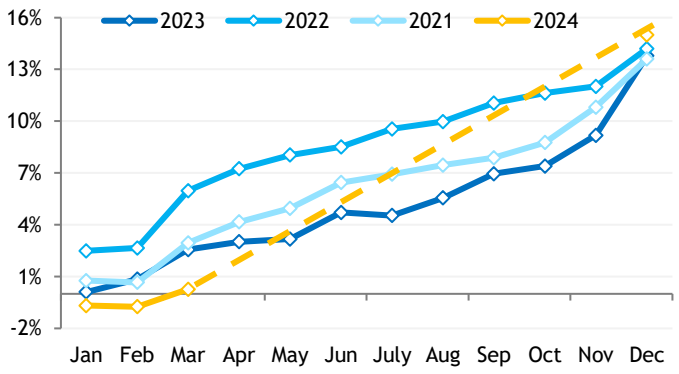
EXECUTIVE SUMMARY

Vietnam's banking sector has stepped on the rocky recovery road with new challenges stemming from external turmoil and internal corrections.

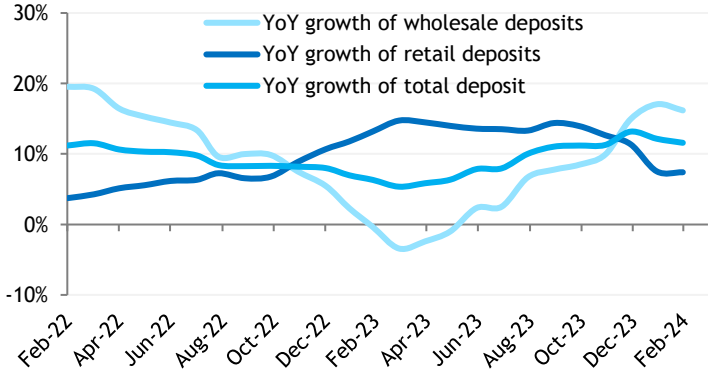
1) Credit growth continued to slow down throughout 2023 due to the economy's weak capacity to absorb capital

YTD credit growth



Vietnam saw a notable downturn in credit growth driven by a deceleration in labor-intensive sectors, especially those tied to export-oriented manufacturing. Credit expansion was persistently sluggish throughout 11 months of 2023 before witnessing a sudden surge, mainly from the real estate and construction sectors.

2) Wholesale deposits plunged as enterprises struggled with high lending rates amidst economic slowdown

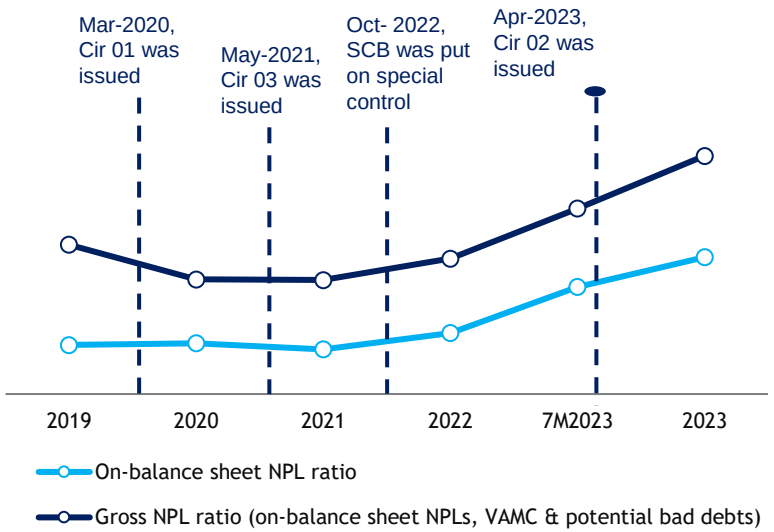


By the end of 2023, total customer deposits surged to over VND 13.5 quadrillion, marking a notable 13.2% YoY increase and establishing a historic pinnacle for the banking sector.

This surge occurred despite deposit interest rates hitting record lows in the 2H2023

3) NPL formation rates remained very high, signaling the further deterioration of banks' asset quality

NPL ratios of credit institutions

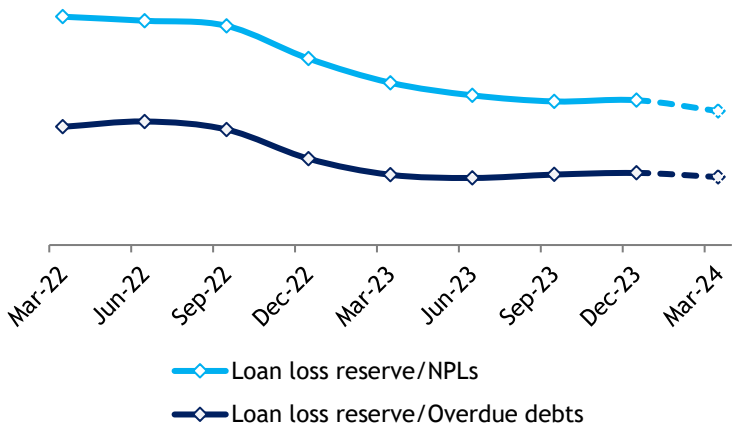


The gross NPL ratio rose to 6.16% in July 2023, and it continued to climb to 7.91% by the end of the year. This deterioration was primarily driven by:

- Unfavorable economic conditions adversely affecting business activities such as operations and import-export, thus impairing the ability to fulfill debt obligations.
- Difficulties in selling mortgaged assets to settle debts. Banks are facing challenges in selling collateral to recover debt, even though prices are significantly lower than the value of the loan. Banks are rushing to auction debt and sell secured assets.

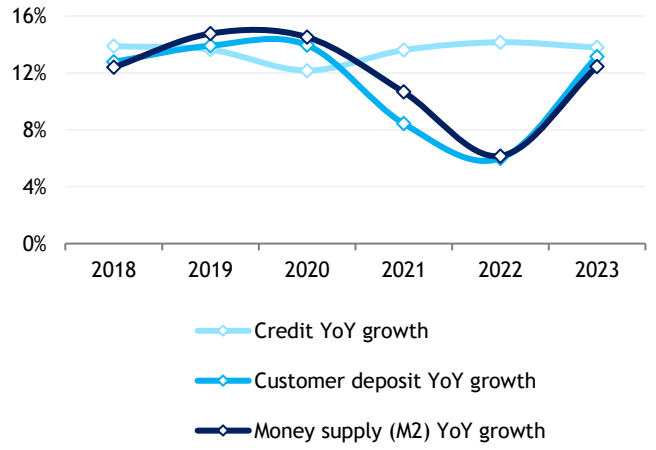
4) Banks experienced an increase in non-performing loans surpassing their provisions for potential losses, resulting in a decline in the industry's reserve cushion

Bad debt coverage ratios of listed banks



5) Banks assure prudential ratios, but capital mobilization remains under pressure

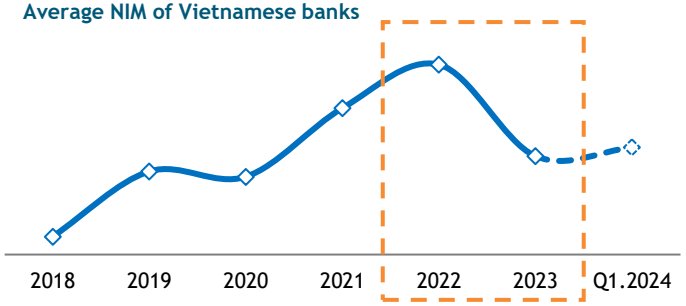
Money supply growth, customer deposit growth and credit growth



EXECUTIVE SUMMARY

6) Despite reductions in mobilization costs and interest rates, Net interest margins for 2023 declined owing to undisbursed credit

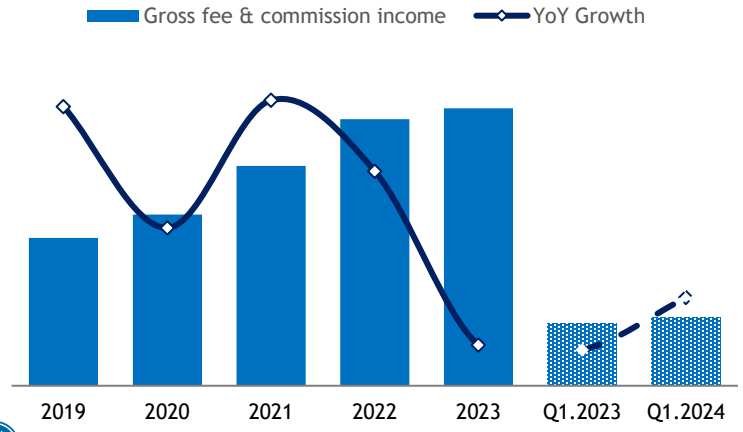
Average NIM of Vietnamese banks



Despite COVID challenges, Vietnamese banks have consistently been profitable, recording impressive NIM during the pandemic hit period. However, after peaking at 3.82% in 2022, commercial banks' net interest margin (NIM) fell to just 3.43% in 2023, driven by sluggish growth in interest income and a reduction in CASA deposits.

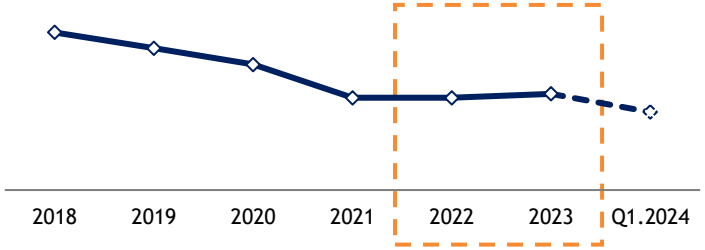
7) A cascade of adverse events dealt a significant blow to the banking sector, resulting in a notable decline in earnings growth across non-credit segments

Gross fee & commission income of listed banks (VNDtrn)



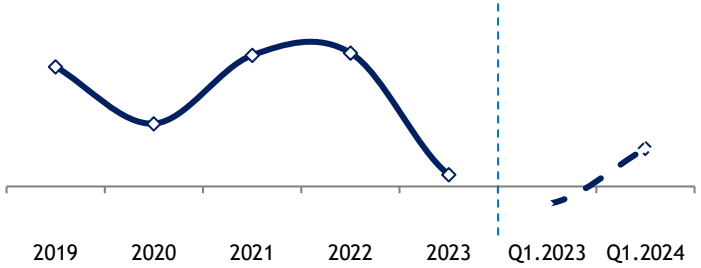
8) Despite concerted efforts to prioritize cost management and restrain cost growth below income growth rates, the systemic Cost-to-Income Ratio experienced a marginal uptick

Cost-to-income ratio of the banking system



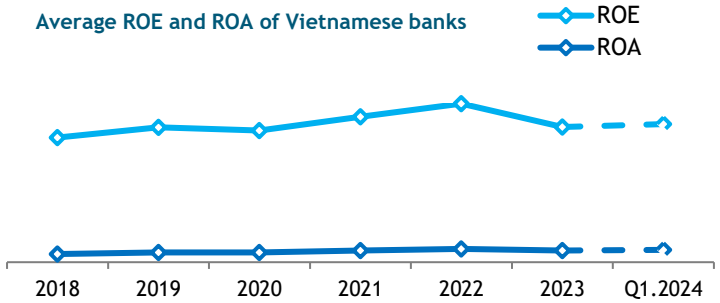
9) Profit after tax growth rate of commercial banks decline significantly due to challenges in both credit and non-credit operations

YoY growth of profit after tax (PAT) of 27 listed banks



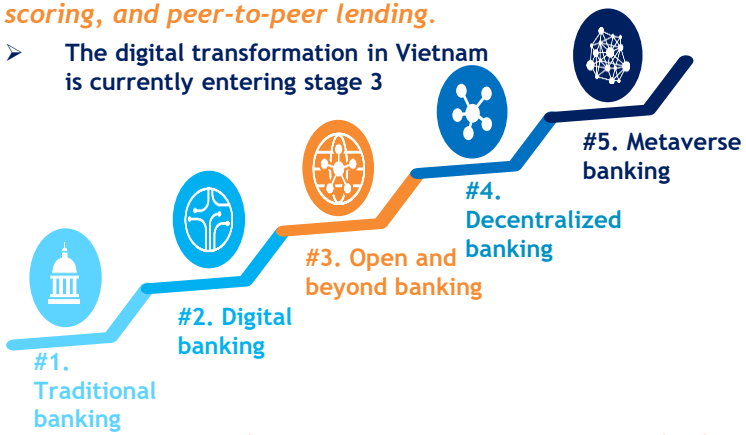
10) The profitability of most banks diminished due to the decoration of operating income coupled with a higher provision burden

Average ROE and ROA of Vietnamese banks



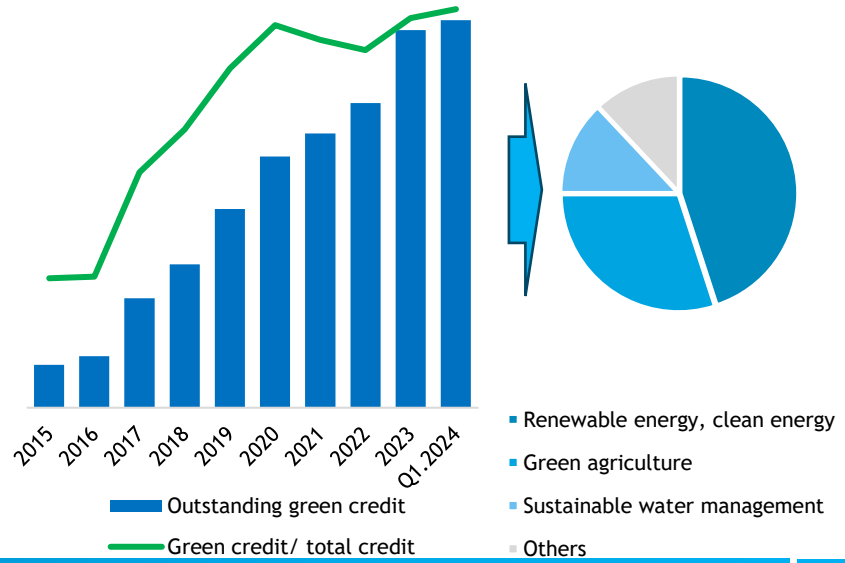
11) Policy initiatives encompassing resolutions, projects, and decrees aimed at fostering and promoting sandbox activities within 3 distinct domains: Open AI, credit scoring, and peer-to-peer lending.

- The digital transformation in Vietnam is currently entering stage 3



12) The green credit market has not yet developed in line with its potential and demand

Outstanding green credit (VNDtrn) and its proportion relative to total credit outstanding



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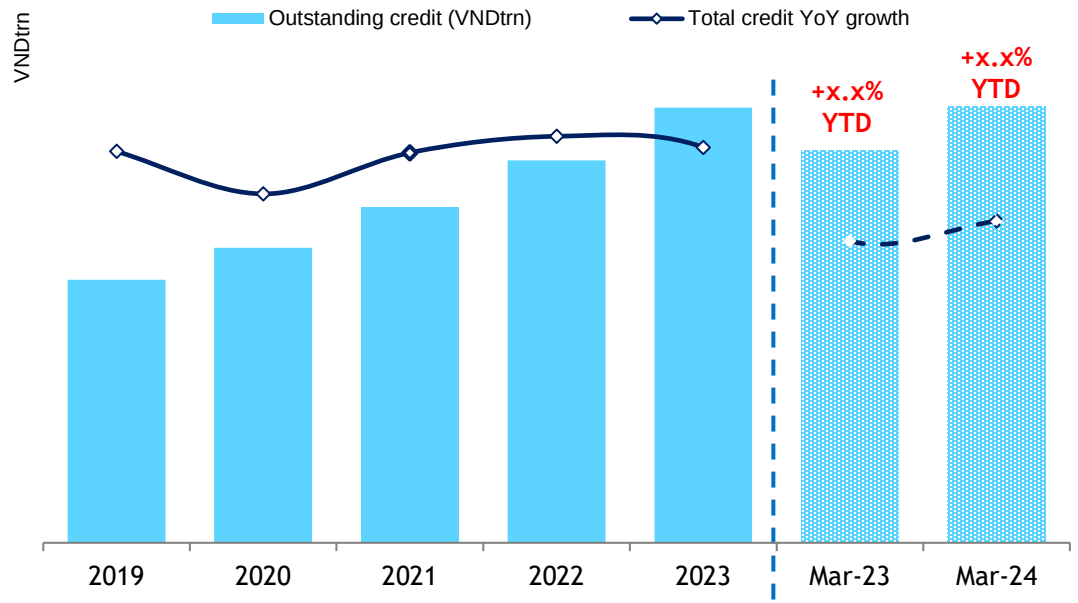
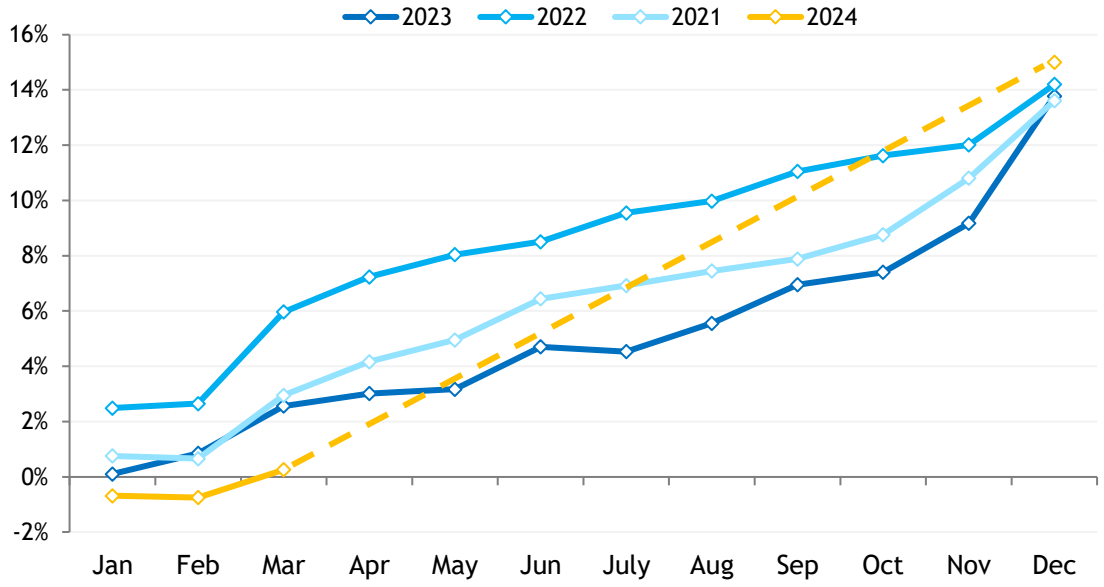
Credit growth continued to slow down throughout 2023 due to the economy's weak capacity to absorb capital

Figure 1: Outstanding credit (VNDtrn) & YoY growth



Source: FiinGroup from SBV

Figure 2: YTD credit growth

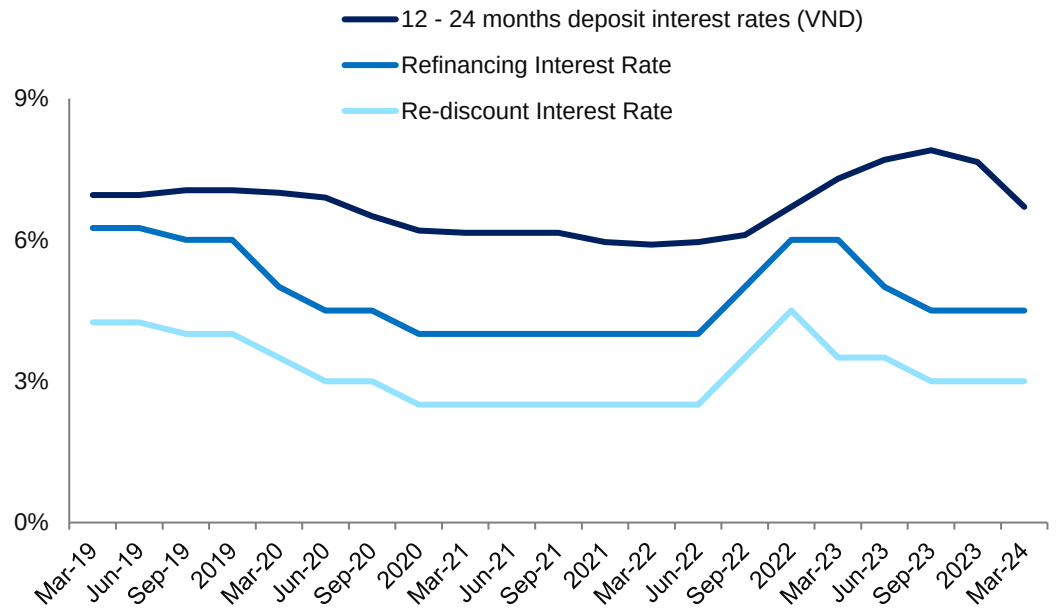


Source: FiinGroup from SBV.

Outstanding credit & growth

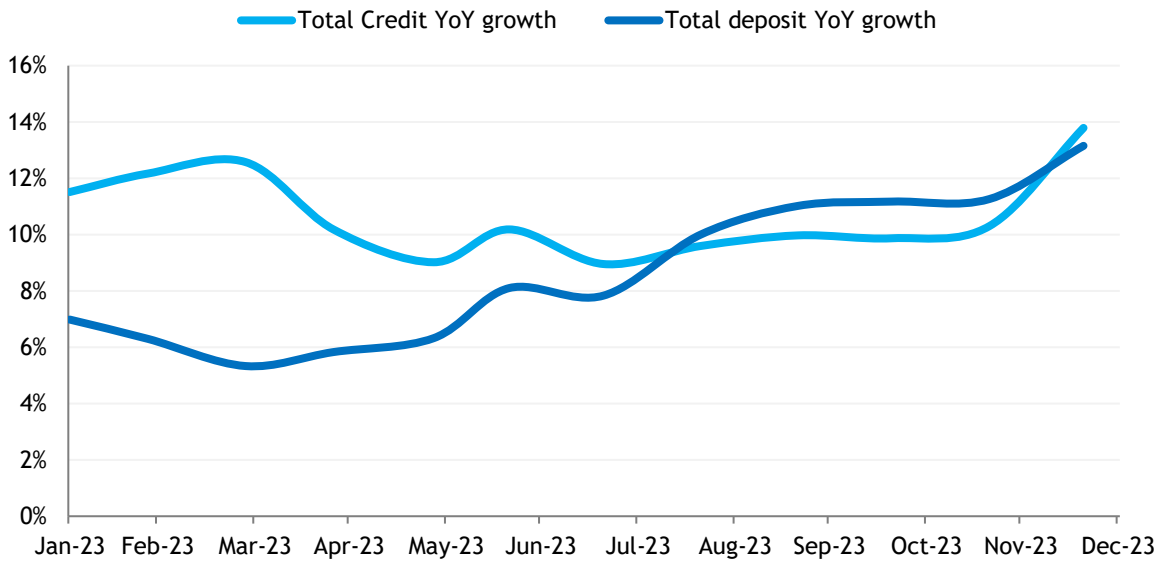
Despite initial sluggishness, credit growth reached 13.78% following multiple interest rate cuts by the State Bank of Vietnam

Figure 3: SBV's policy rates and commercial banks' average deposit rate



Source: FiinGroup from SBV and banks' websites.

Figure 4: Systemwide credit and deposit (YoY)

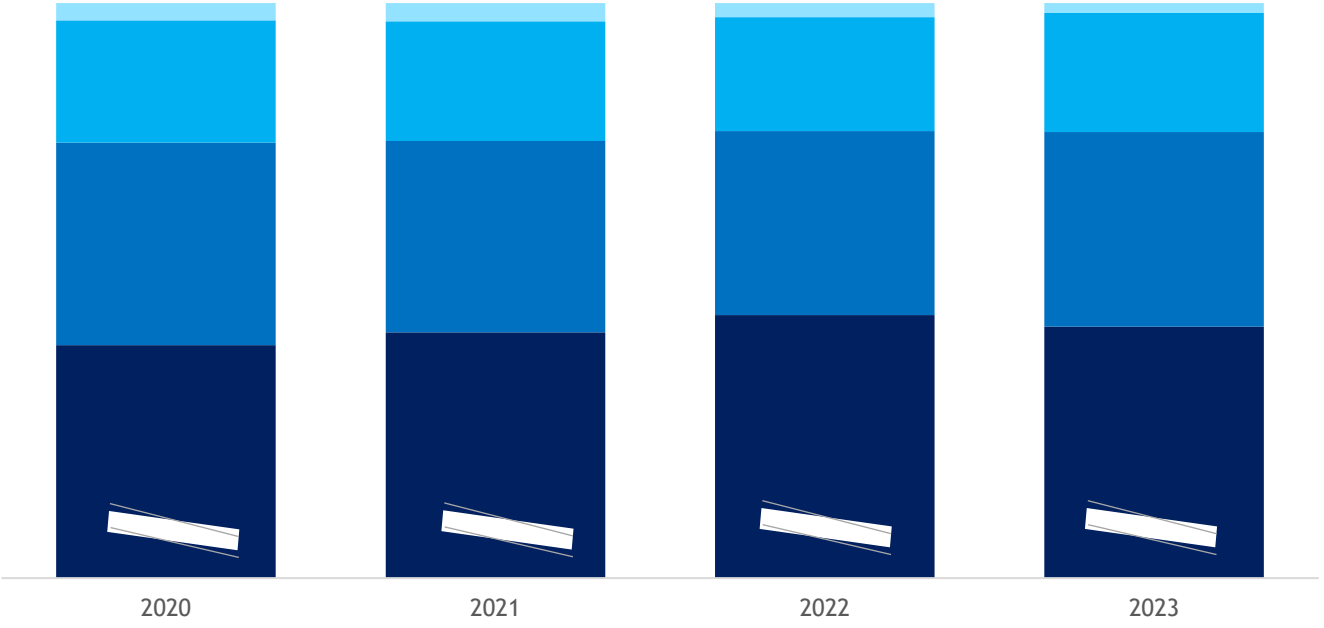


Source: FiinGroup from SBV.

Credit growth by segment

The contribution of retail loans to bank's total loans experienced a downturn in 2023 after years of steady growth

Figure 5: Breakdown of systemwide credit outstanding by segments (VNDtrn)

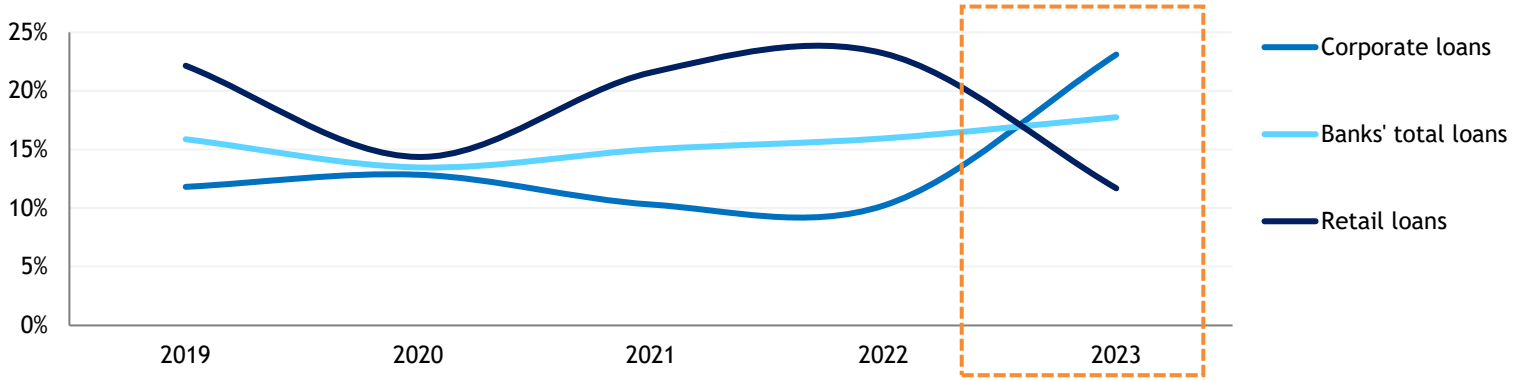


	2023 YoY	2022 YoY
Investment in corporate bonds		
Loan to SMEs		
Loan to large corporates		
Retail loan		
Systemwide credit growth	13.8%	14.2%

Source: FiinGroup estimated from SBV Statistics and banks' financial statements. Note: Percentages of retail, corporate, and investment in C-bonds over total loans are estimated from the financial statements of 27 banks accounting for 75% of total outstanding credit in 2023. The Loan to SMEs and large corporate growth are estimated from 27 banks with the proportion disclosed by the SBV

Corporate lending drives credit growth amid sluggish retail loan market in 2023

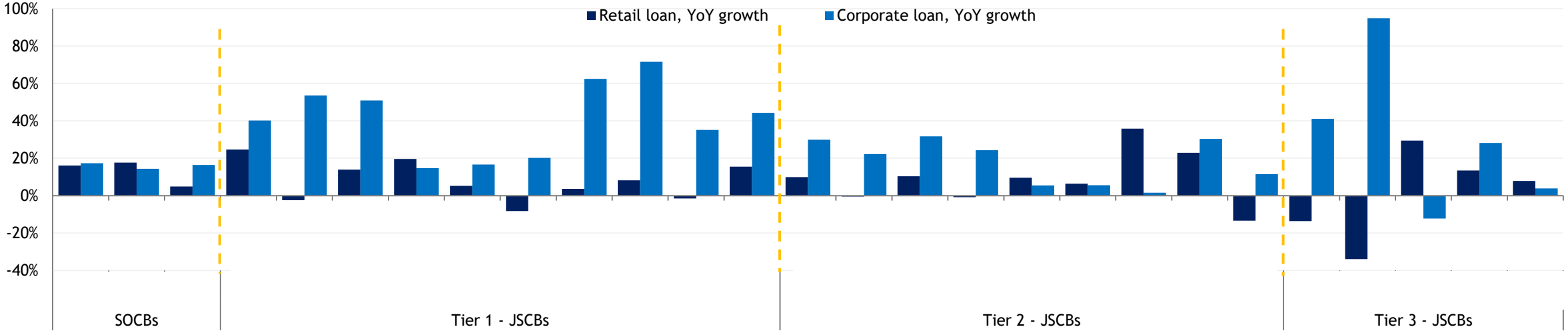
Figure 6: YoY growth of retail, corporate and total customer loans of 27 domestic commercial banks



Source: FiinGroup from 27 banks' financial statements and presentations, accounting for ~75% of total outstanding credit in 2023.

- In 2023, the retail loan segment of commercial banks experienced sluggish growth, increasing by only 11.7% throughout the year. This marks a significant decline of over 10% compared to the growth rates observed in the previous two years.
- Consequently, the corporate segment has become the primary driver of credit growth for most banks this year. Even banks that traditionally focus on retail customers, such as VPB, STB, VIB, and TPB, shifted their focus towards the corporate sector to boost their credit growth.

Figure 7: Retail loan vs corporate loan (YoY) growth by major commercial banks, 2023

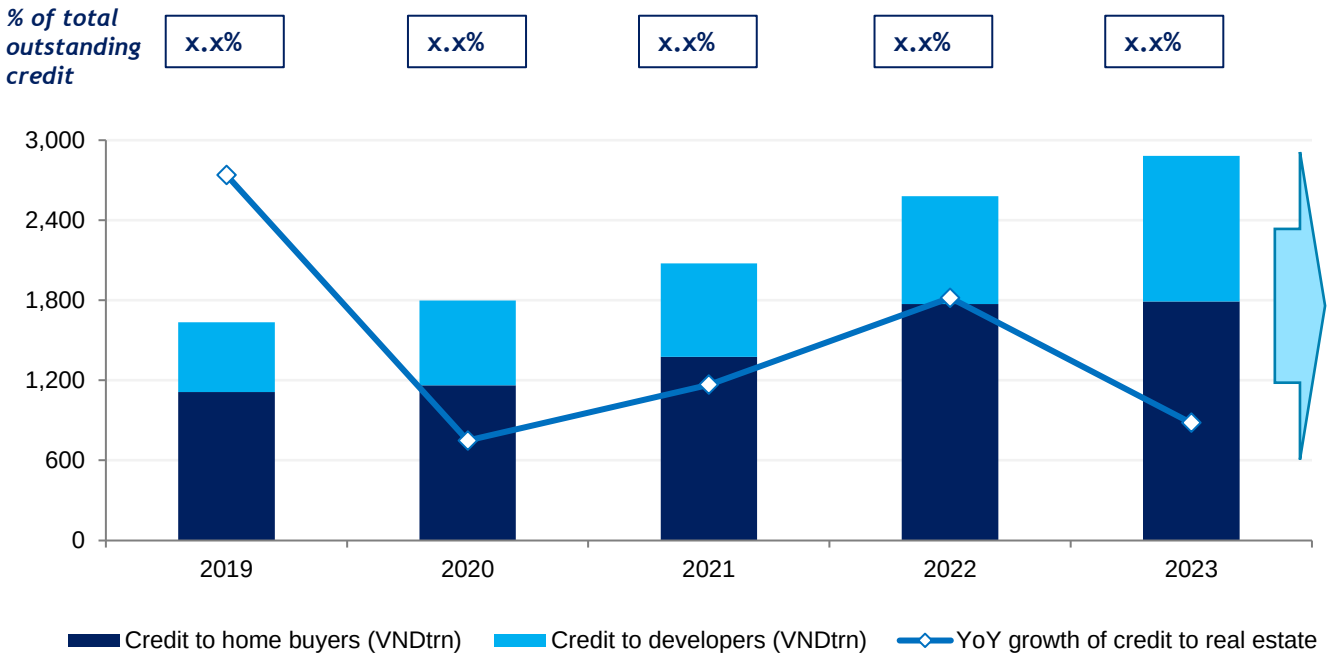


Source: FiinGroup from 27 banks' financial statements. Tier 1 banks have a total asset exceeding VND 300trn in Q1.2024. Tier 2 banks have a total asset from VND100trn - VND300trn, Tier 1 banks have a total asset below VND300trn

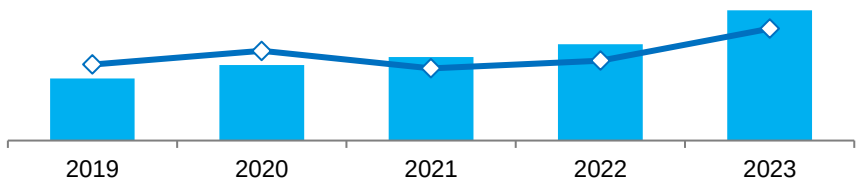
Credit to real estate

Credit to the real estate sector slowed down amid economic hardship

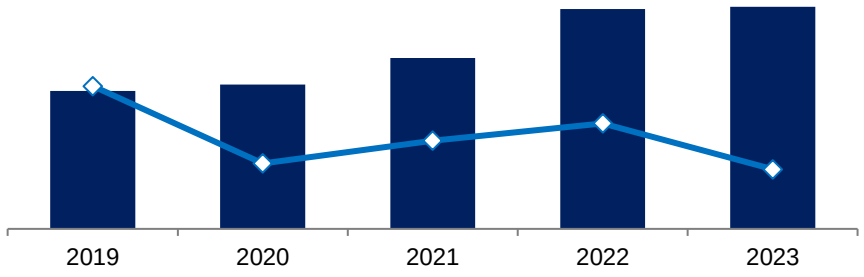
Figure 8: Outstanding credit to real estate (VNDtrn) and YoY growth



Credit to developers



Credit to home buyers

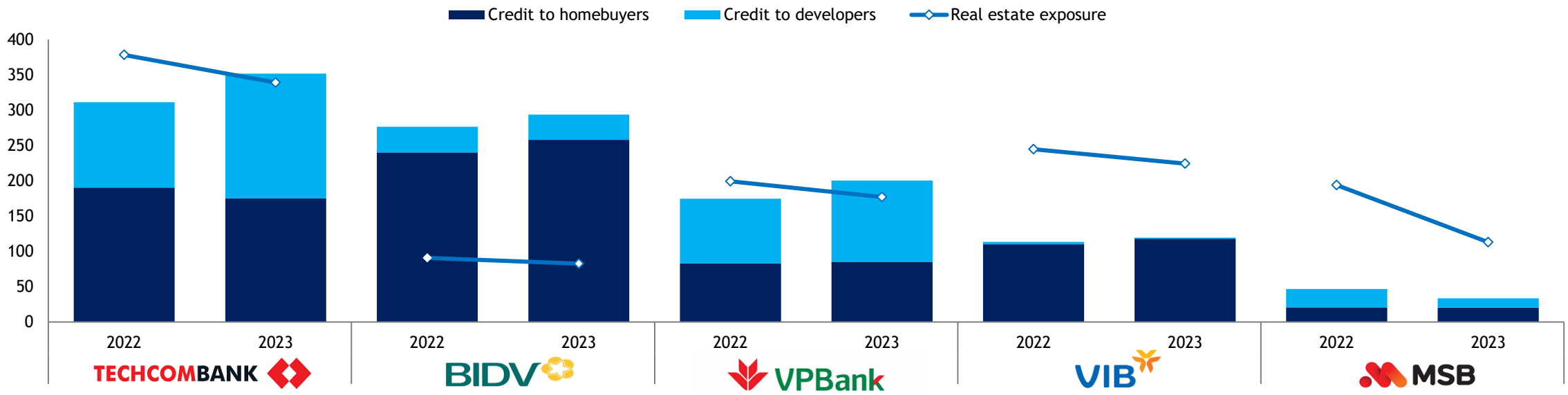


Source: FiinGroup from SBV. Note: Credit to real estate sector includes customer loans and real estate C-bonds held by commercial banks.

Credit to real estate

Declining demand contracts homebuyer loans, while Government policies drive the expansion in developer segment

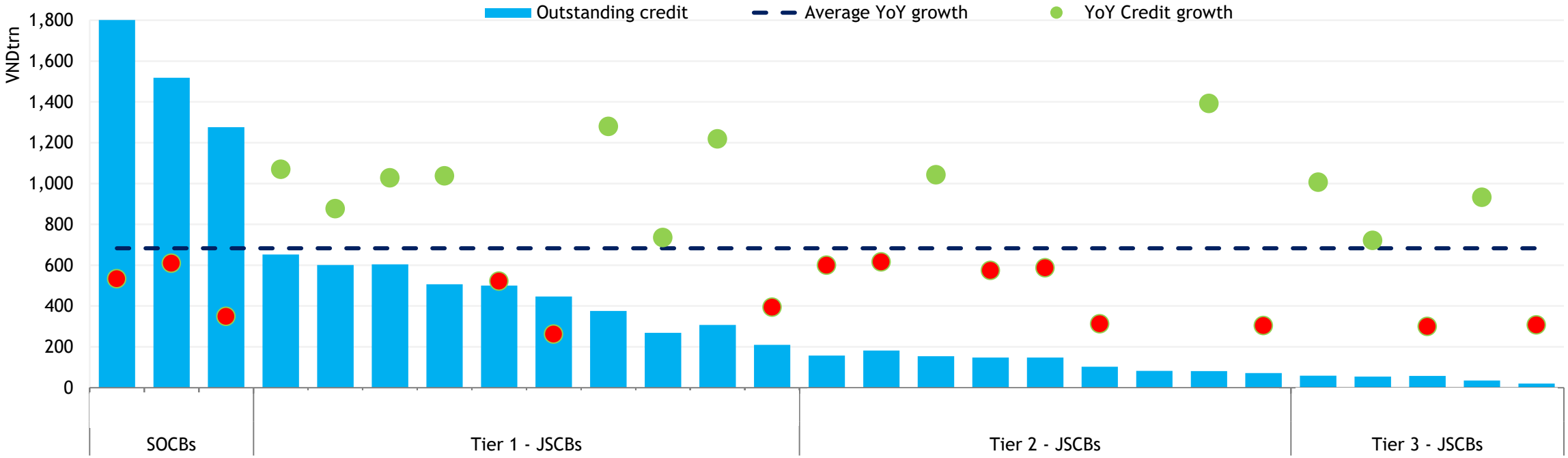
Figure 9: Loans to real estate-related sectors (real estate, construction & construction materials) in loan books of selected commercial banks (VNDtrn)



Source: FiinGroup from financial statements and investor presentations of commercial banks. Note: loans to real estate-related sectors do not include C-bonds.

Credit growth diverse among bank groups with corporate-focused banks leading the way

Figure 10: Outstanding credit and YoY growth by bank, Q1.2024



Source: FiinGroup from 27 banks' financial statements. Tier 1 banks have a total asset exceeding VND 300trn in Q1.2024. Tier 2 banks have a total asset from VND100trn - VND300trn, Tier 1 banks have a total asset below VND300trn . Note: banks' outstanding credit is the sum of their outstanding customer loans and investment in corporate bonds of ***economic entities****.*

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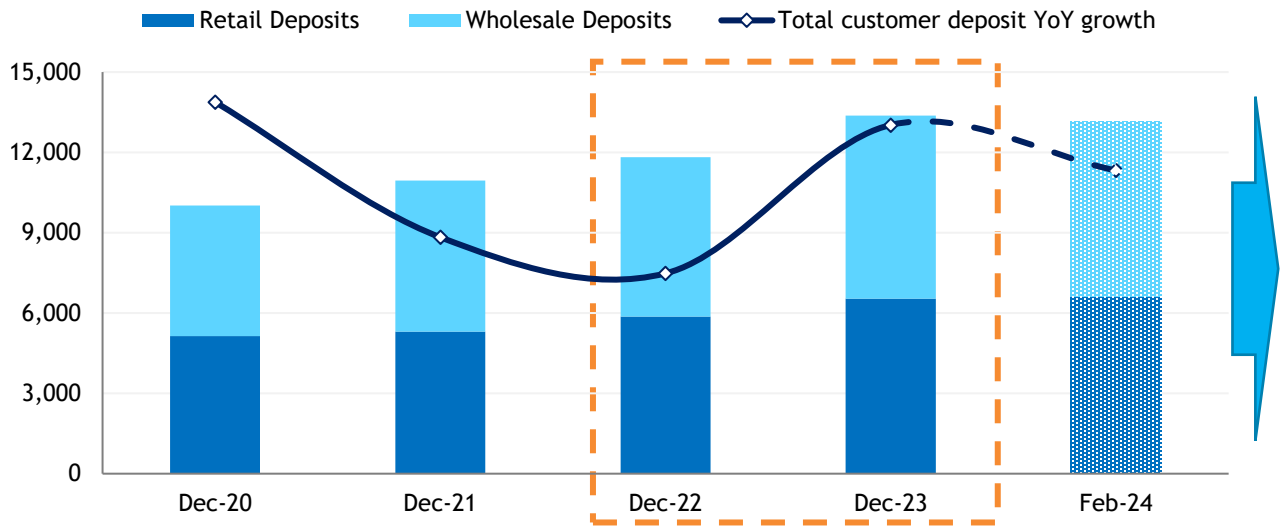
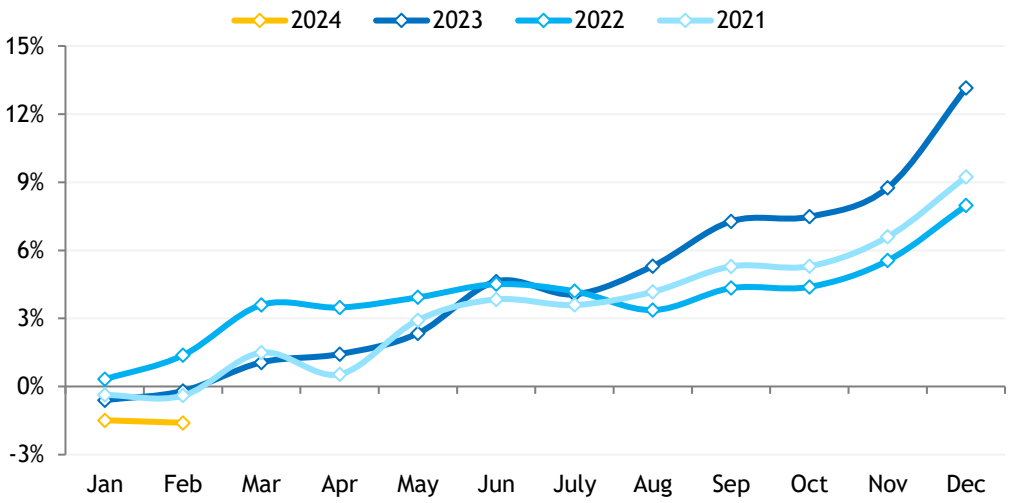
Despite the race to lower deposit interest rates in 2023, customer deposits have soared to a peak

Figure 11: Customer deposits (VNDtrn) and YoY growth



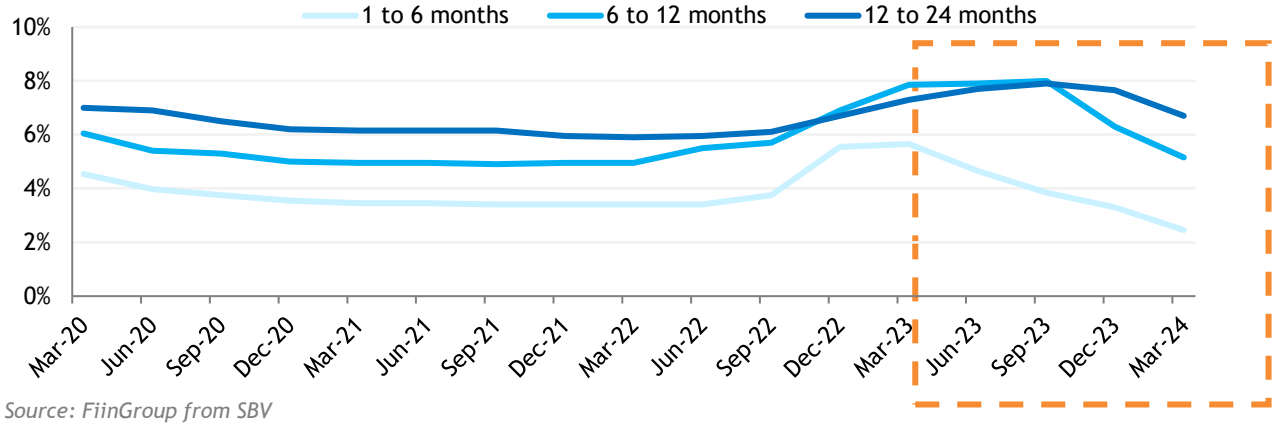
Source: FiinGroup from SBV. Retail deposits are deposits by individuals, while wholesale deposits are ones by economic entities.

Figure 12: YTD deposit growth



Source: FiinGroup from SBV

Figure 13: Average deposit interest rates in VND

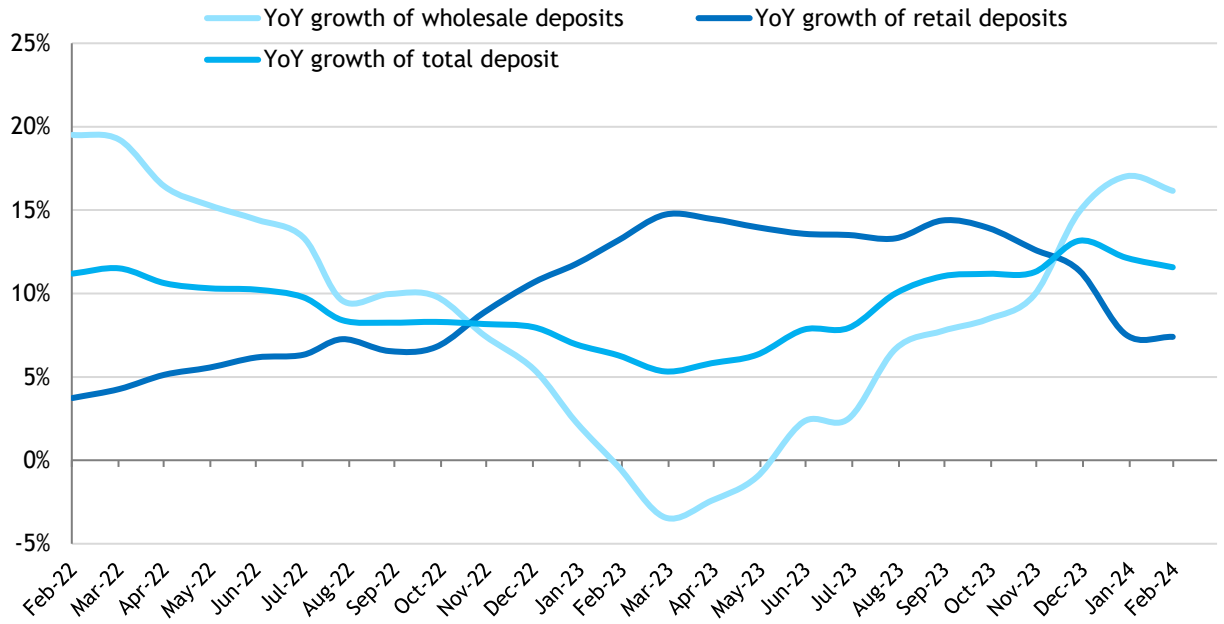


Source: FiinGroup from SBV

Retail deposit vs wholesales deposit

Wholesale deposits plunged as enterprises struggled with high lending rates amidst economic slowdown

Figure 14: YoY growth of wholesale, retail and total customer deposits



Source: FiinGroup from SBV

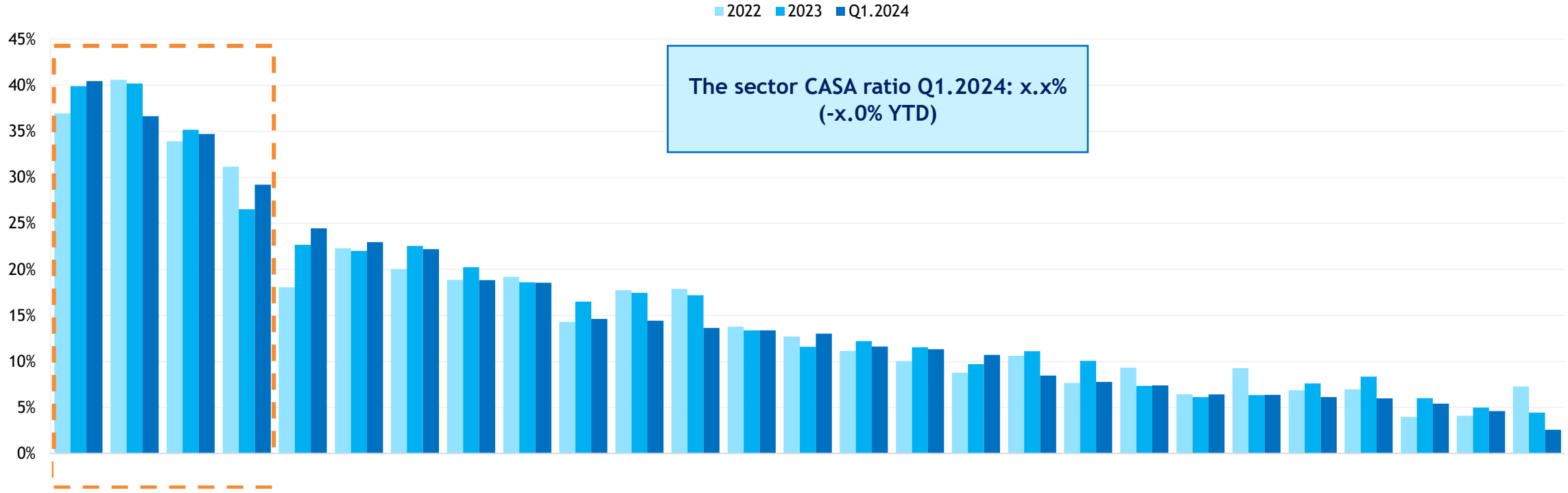
Figure 15: Contribution of retail and wholesale deposits to total customer deposits

Source: FiinGroup from SBV

CASA deposits

The surge in term deposits contrasts with a decline in the CASA deposits in the first quarter of 2024, signifying a shift among depositors towards term deposits to earn higher interest rates

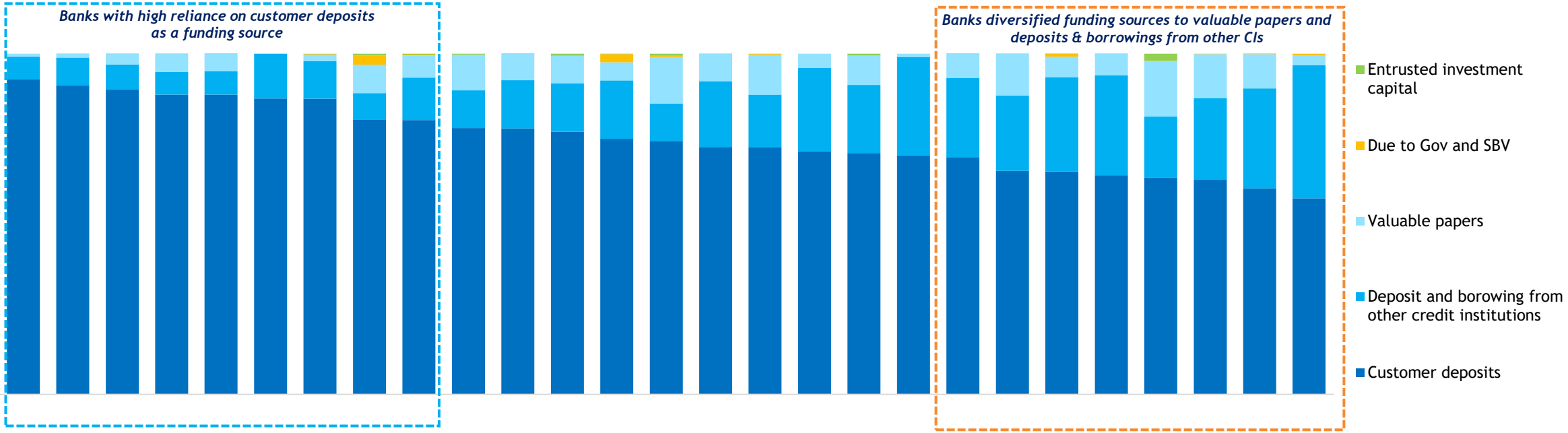
Figure 16: 27 listed Banks' current account saving account (CASA) ratio



Source: FiinGroup from financial statements of 27 banks whose customer deposits accounted for 75% of total customer deposits in 1Q2023

Banks actively diversify their funding structure by raising capital from alternative sources to ensure liquidity and comply with SBV's prudential ratios

Figure 17: Funding structure of banks as of March-2024



Source: FiinGroup from financial statements of 27 banks whose total customer deposits accounted for 75% of total deposits of credit institutions in 2023.

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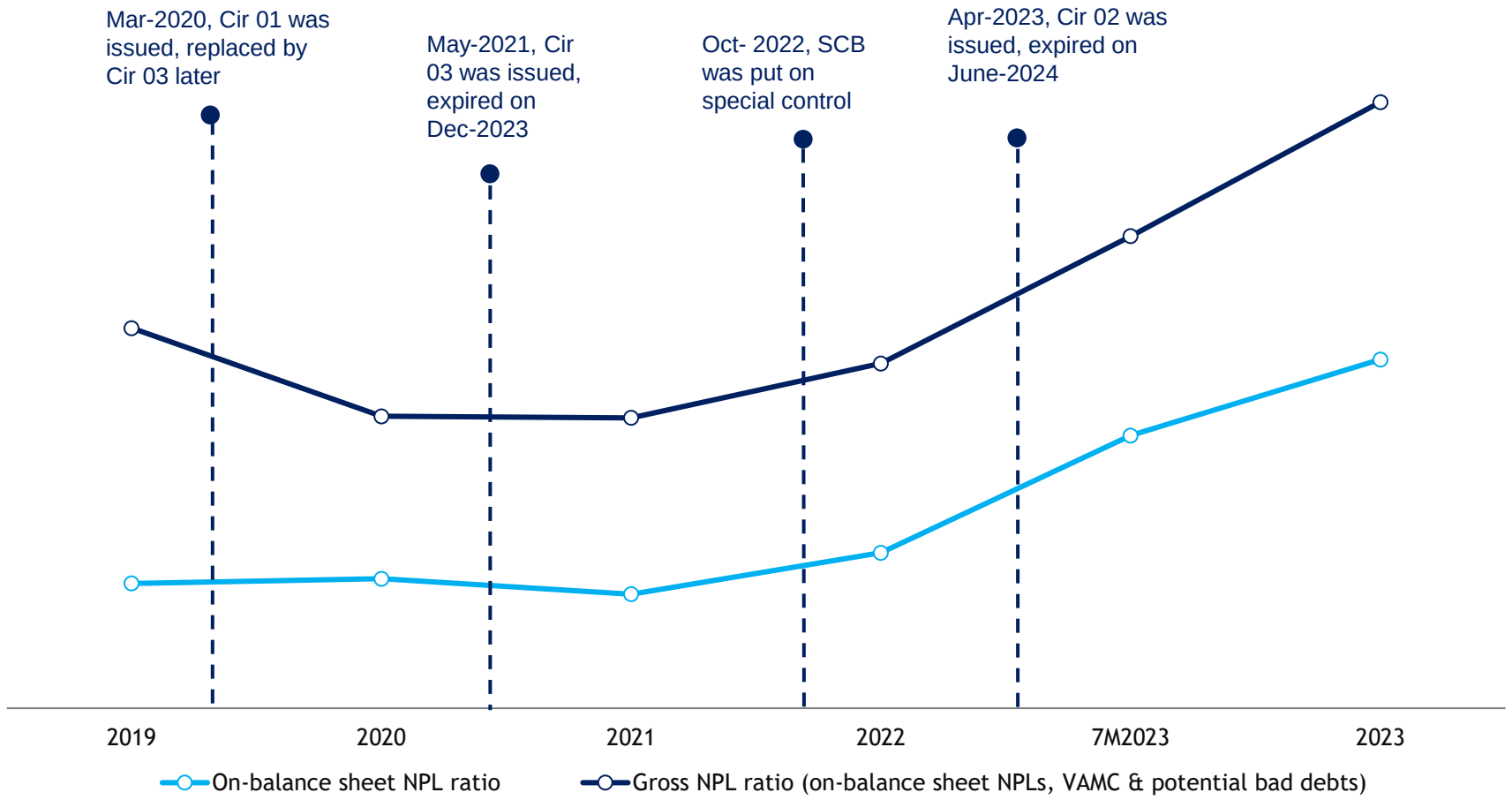
1.7	Profitability	37
1.8	Capital adequacy ratio	40

NPL ratios

NPL formation rates remained very high, signaling the further deterioration of banks' asset quality

Figure 18: Non-performing loan (NPL) ratios of credit institutions



Source: FiinGroup, SBV
Note: On-balance sheet NPL and gross NPL ratio was calculated including NPL of 5 commercial banks under special controls (CB, Ocean Bank, GP Bank, Dong A Bank and SCB). Excluding NPL of these 5 banks, systemwide on-balance sheet ratio was recorded at 1.69% and gross NPL ratio was recorded at 3.36% as of Dec-2023.

NPL ratios

Bad debt ratios soared across most commercial banks revealing deteriorated payment capacity of customers during the economic downturn

Figure 19: Extended NPL ratio & NPL ratio of 27 listed bank

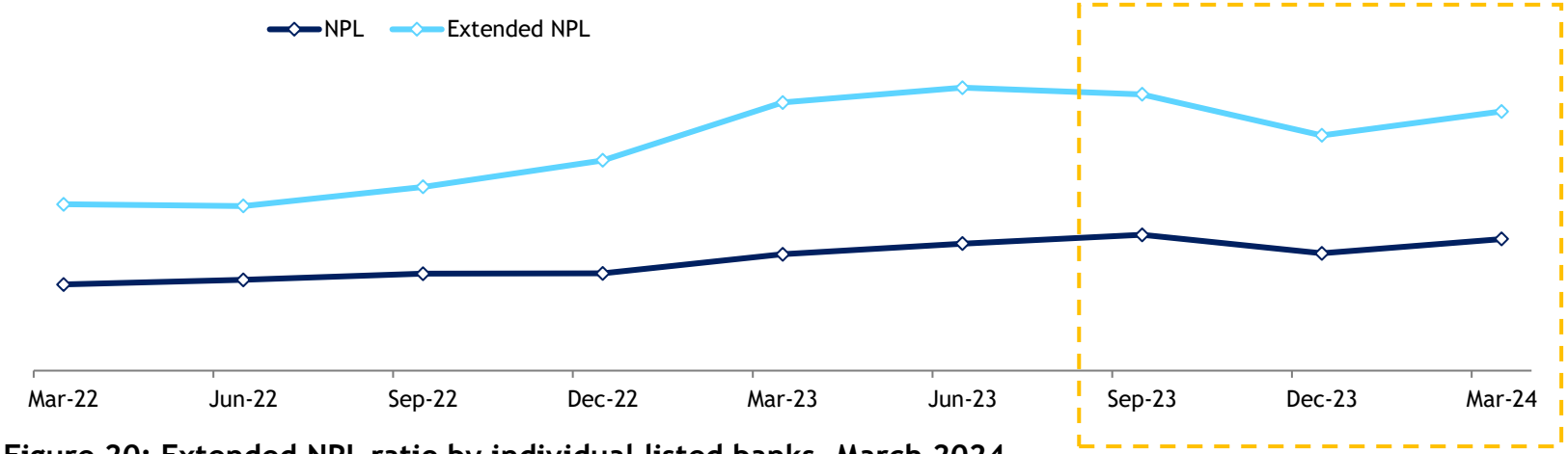
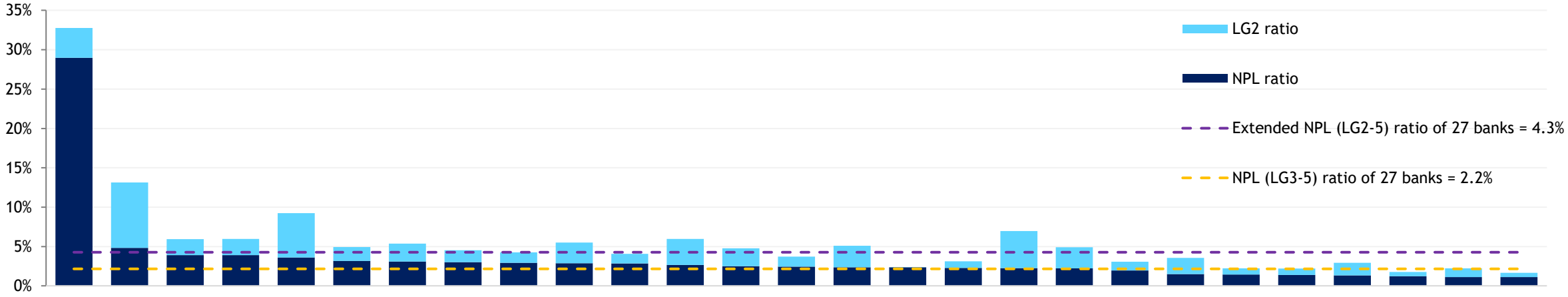


Figure 20: Extended NPL ratio by individual listed banks, March 2024

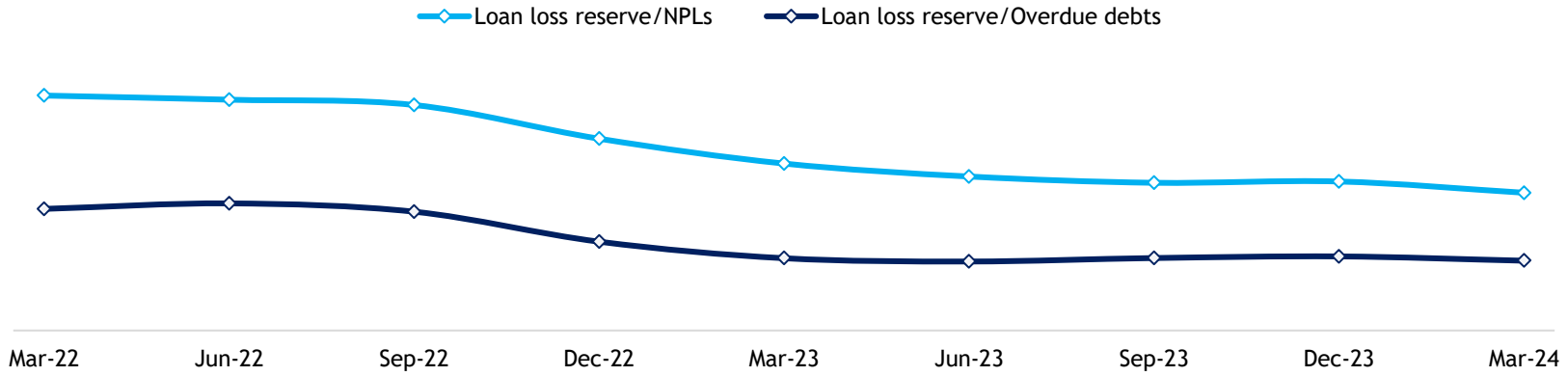


Source: FiinGroup from financial statements of 27 banks whose outstanding credit accounted for 75% of total outstanding credit in 2023.

Loan loss coverage

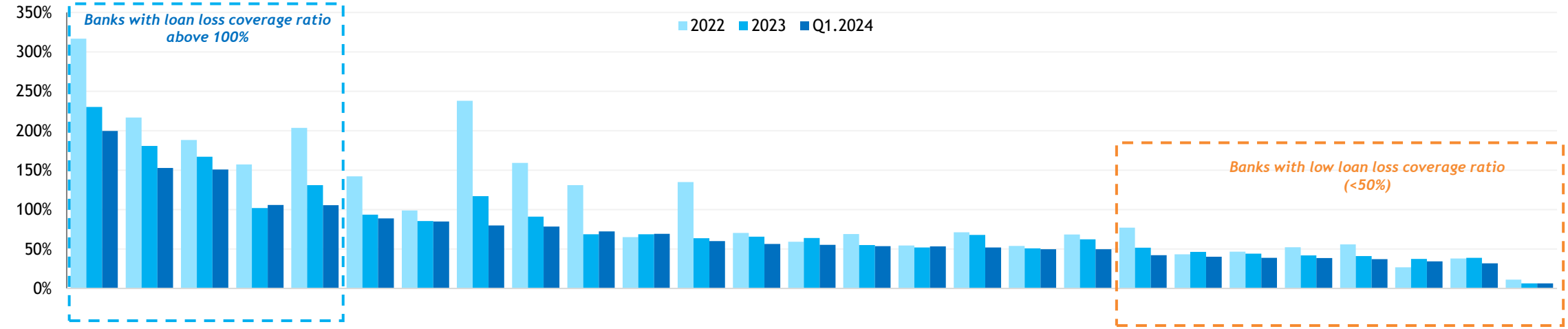
Banks experienced an increase in non-performing loans surpassing their provisions for potential losses, resulting in a decline in the industry's reserve cushion

Figure 21: Bad debt coverage ratios of listed banks



*Source: FiinGroup from **financial statements of 27 listed banks***

Figure 22: Loan loss coverage ratio of commercial banks

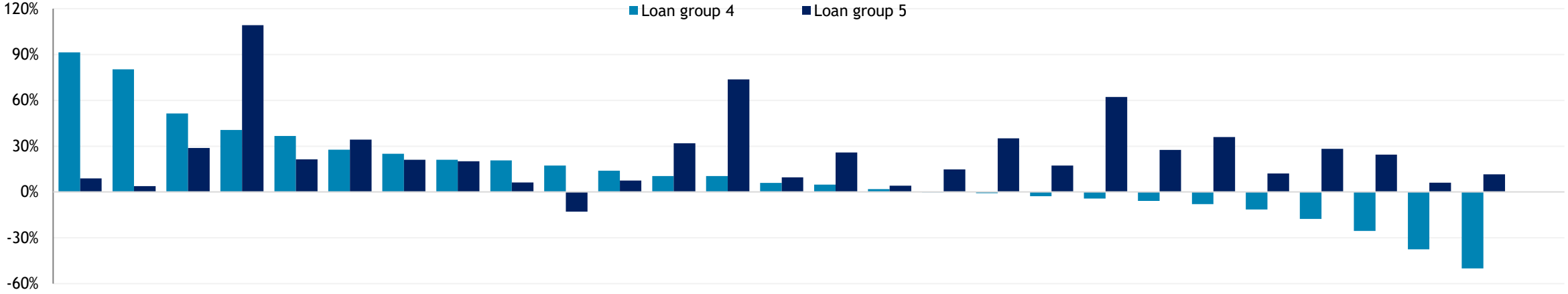


Source: FiinGroup from 27 listed banks' financial statements, accounting for 75% of total outstanding credit.

NPL ratios

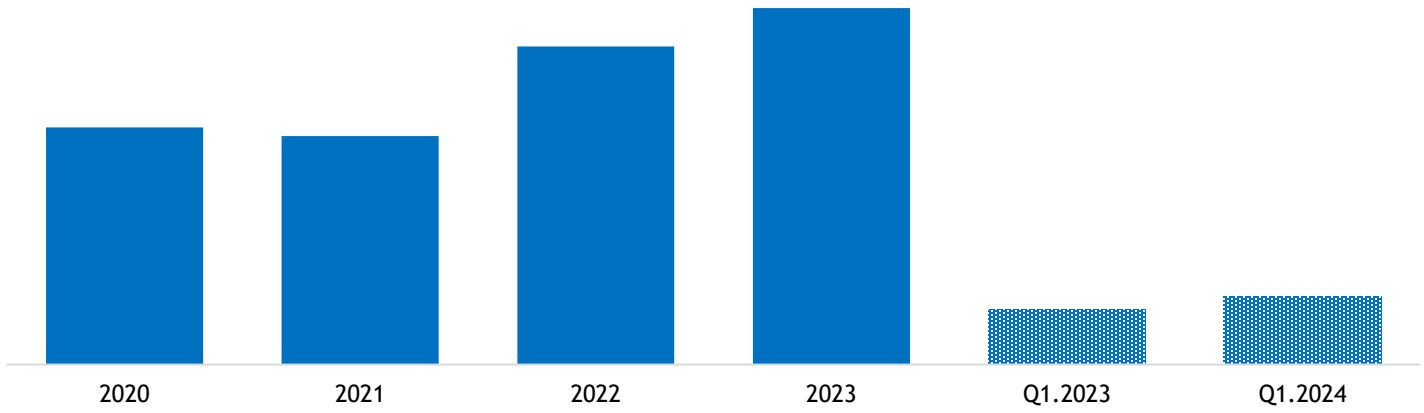
Credit quality further deteriorated, banks accelerated using provision to handle non-performing loans

Figure 23: Change in absolute amount of Loan Group 4 and 5 in Dec - 2023 vs Mar - 2024



Source: FiinGroup from financial statements of 27 banks whose outstanding credit accounted for 75% of total outstanding credit in Q1.2024.

Figure 24: Total Write-off amount of 27 listed banks (VNDbn)

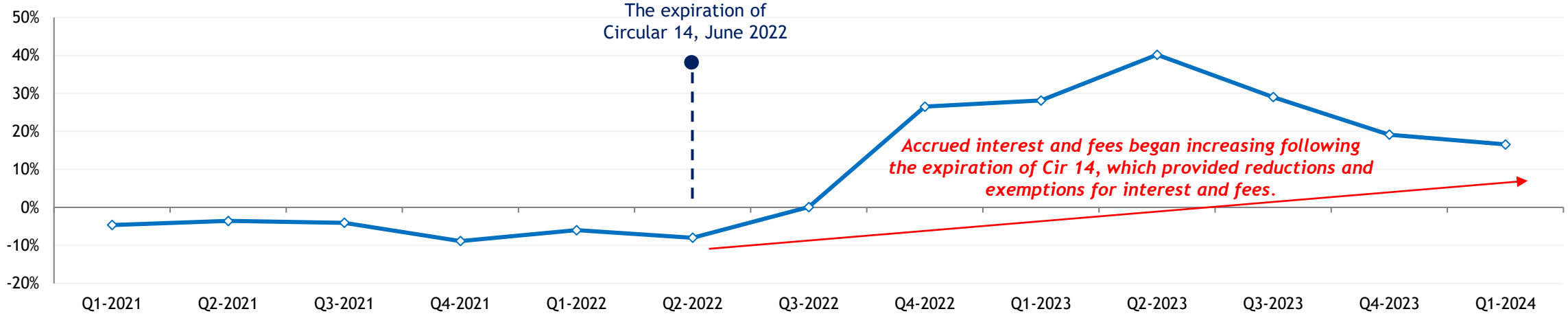


Source: FiinGroup from banks' financial statements.

NPL ratios

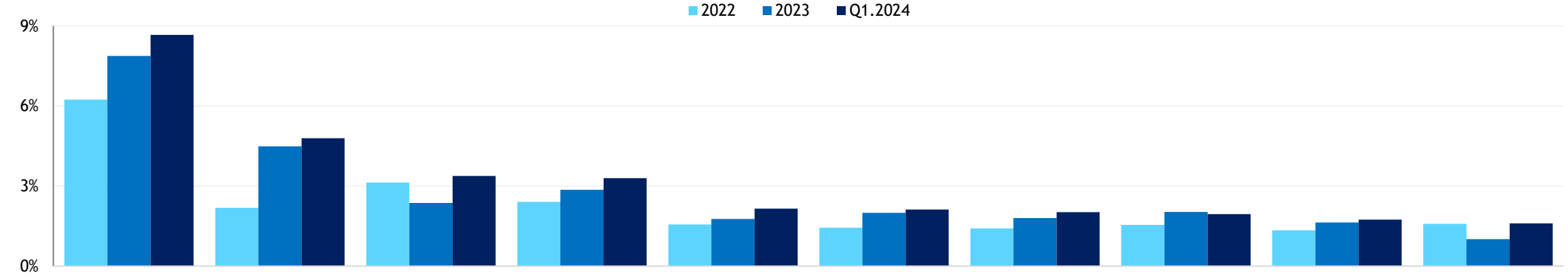
The Accrued Interest/Earning asset ratio accelerated in 2023 implied a warning signal for banks' loan book quality

Figure 25: YoY growth of Accrued interest and fee



Source: FiinGroup from 27 banks' financial statements.

Figure 26: Top 10 banks with the highest Accrued Interest/ Earning asset ratio in March - 2024



Source: FiinGroup from 27 banks' financial statements.

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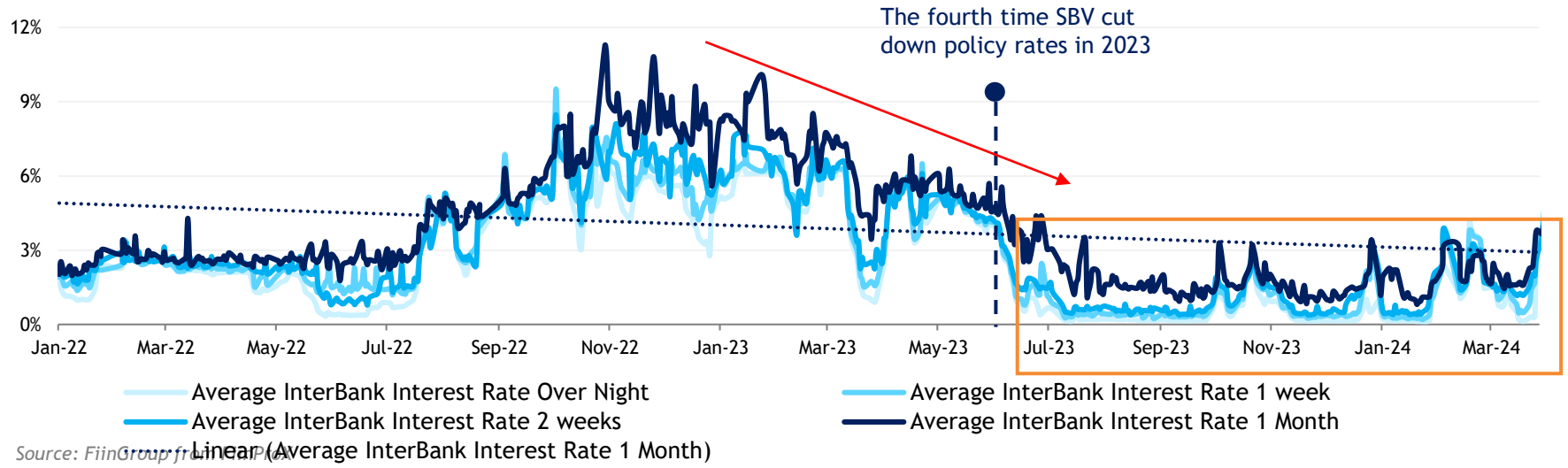
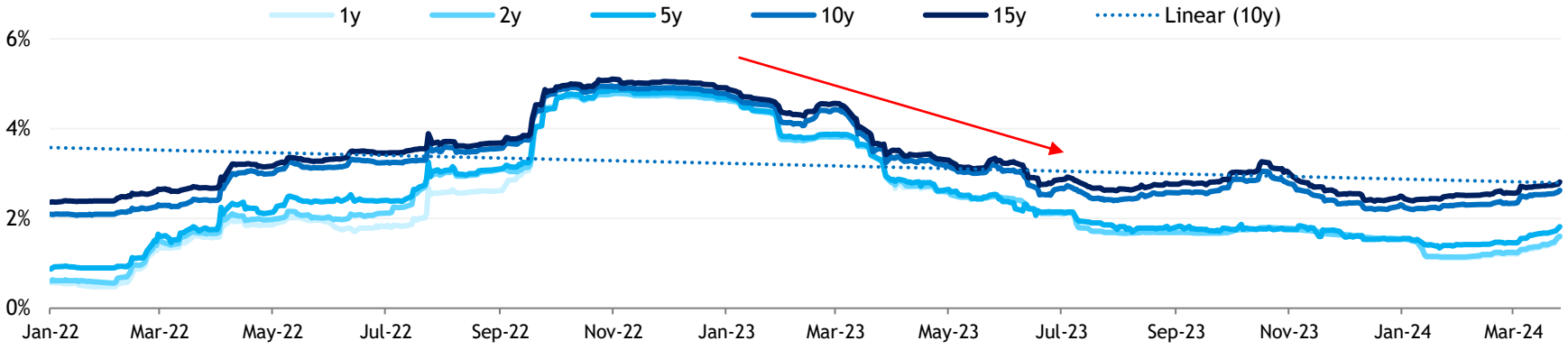
The surge in the overnight rate highlights tightened liquidity due to SBV liquidity absorption through T-bills and OMO, seasonal liquidity recalibration by banks

Figure 27: Interbank rates



Source: FiinGroup from VBMA

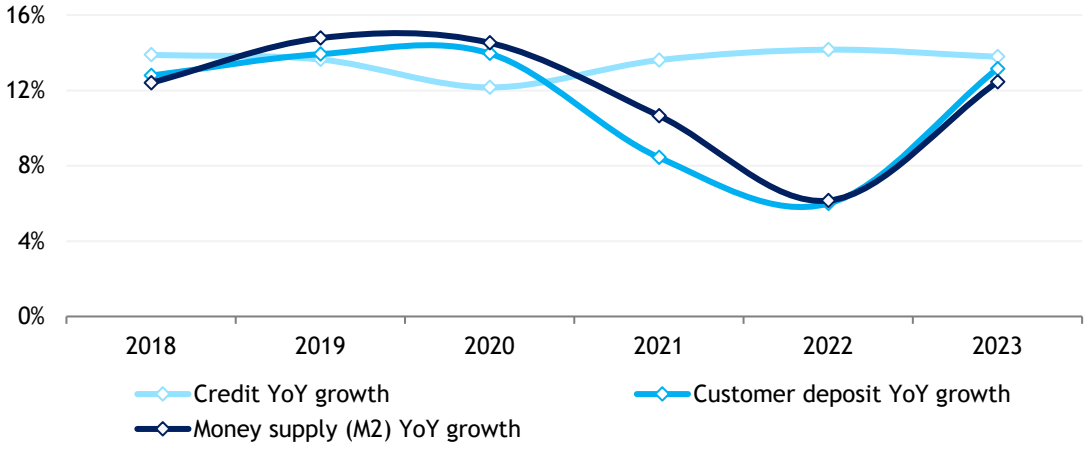
Figure 28: Government bond yield fixing



Source: FiinGroup from VBMA. Note: government bond yield fixing is the average of bid and ask prices of commercial banks.

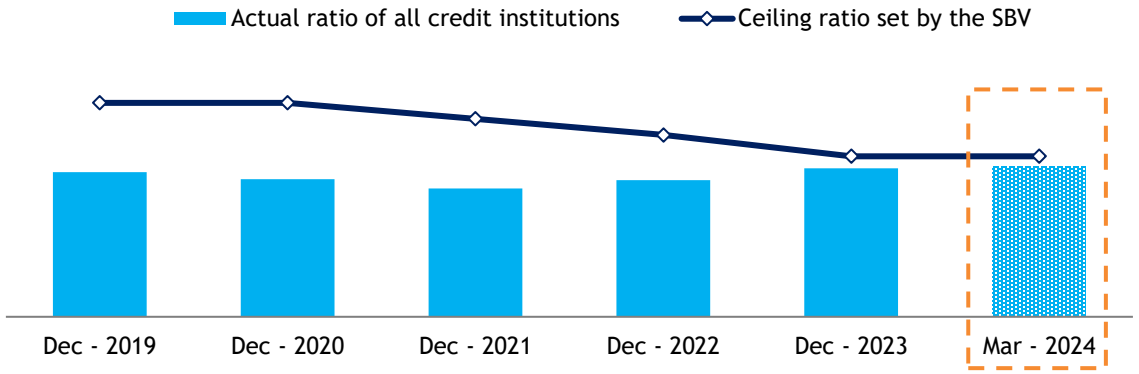
Banks assure prudential ratios, but capital mobilization remains under pressure

Figure 29: Money supply growth, customer deposit growth and credit growth



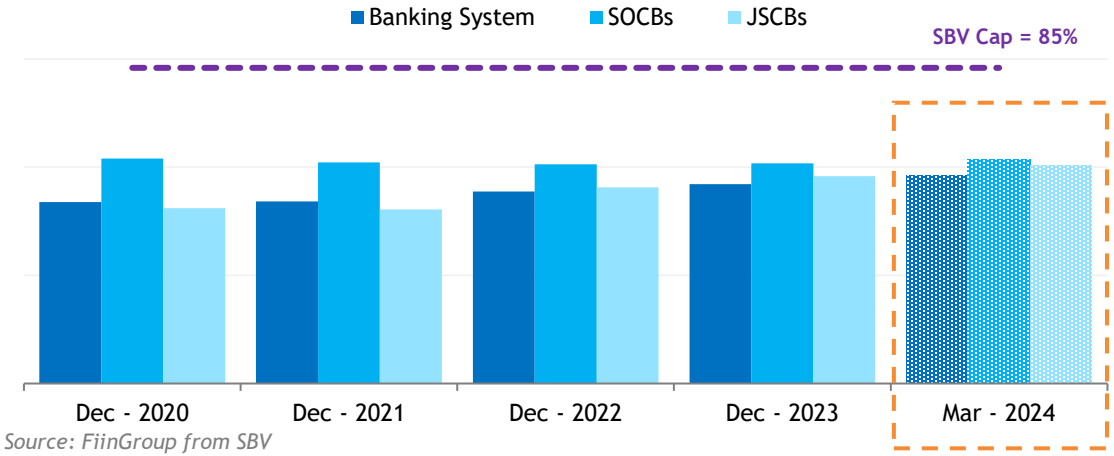
Source: FiinGroup from SBV

Figure 30: Short-term (ST) deposits to medium- and long term (MLT) loans of credit institutions



Source: FiinGroup from SBV. Note: SBV lowered the ratio cap to 37% from Oct 2021, 34% from Oct 2022 and 30% from Oct 2023.

Figure 31: Loan-to-deposit (LDR) ratio of Vietnamese banks



Source: FiinGroup from SBV

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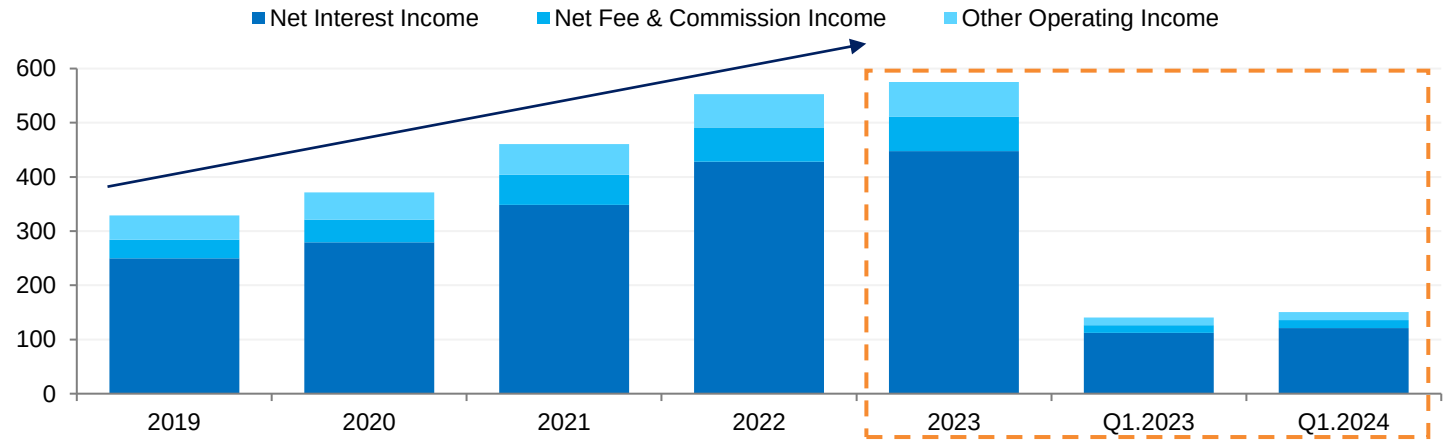
1.8	Capital adequacy ratio	40

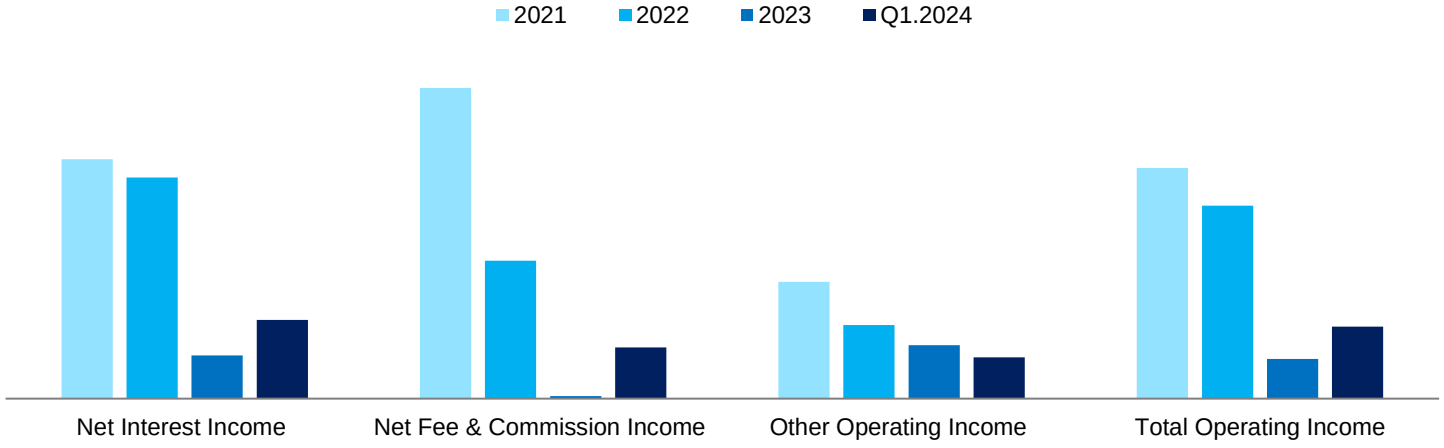
Commercial banks encountered profitability challenges in both their credit and non-credit operations

Figure 32: Income structure of listed banks, VNDtrn



Sources: FiinGroup from 28 listed banks with outstanding credit accounting for 73% of total outstanding credit

Figure 33: Income YoY growth by segment of listed banks



Sources: FiinGroup from 28 listed banks with outstanding credit accounting for 73% of total outstanding credit

Net Interest Income

Despite reductions in mobilization costs and interest rates, Net interest margins for 2023 declined owing to undisbursed credit

Figure 34: Average NIM of Vietnamese banks

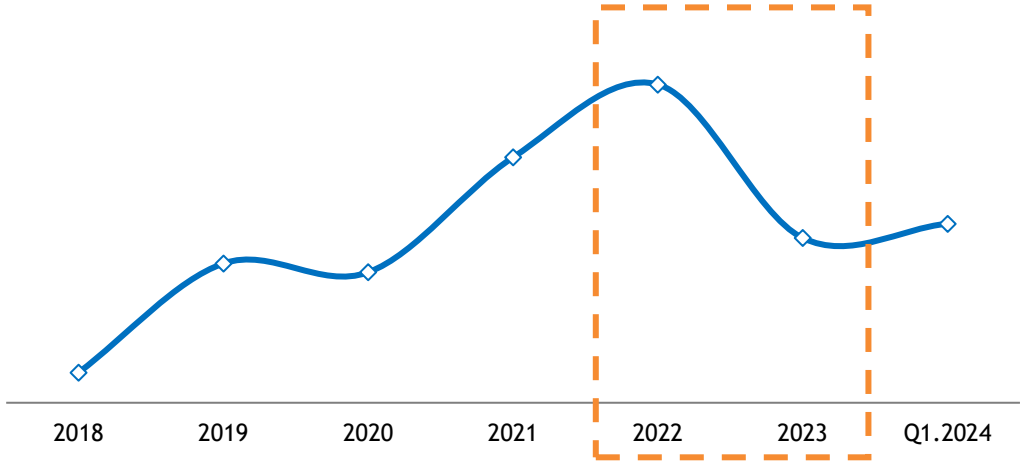


Figure 35: YoY and QoQ growth of net interest income of listed banks

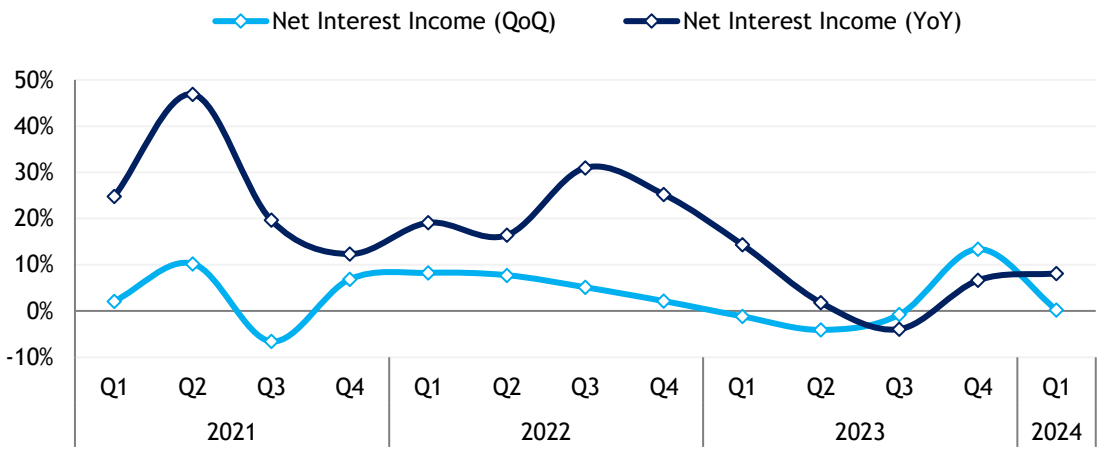
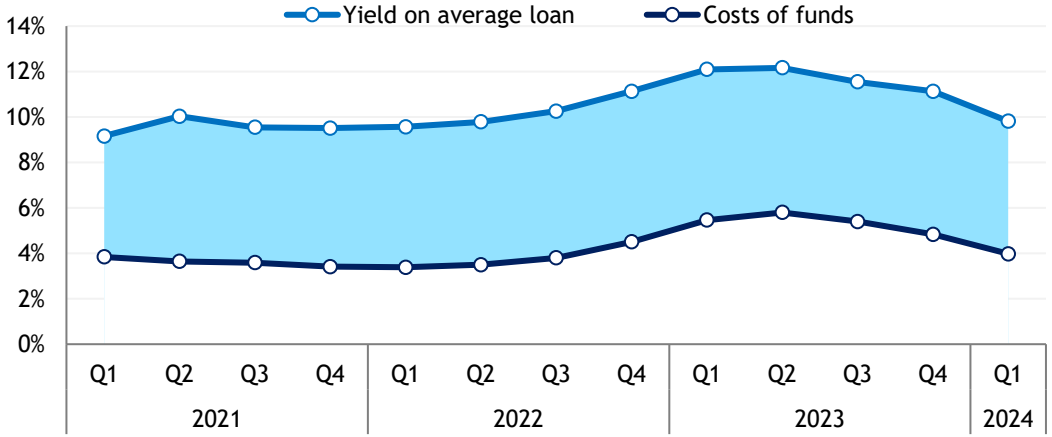


Figure 36: Interest rate spread of the banking system

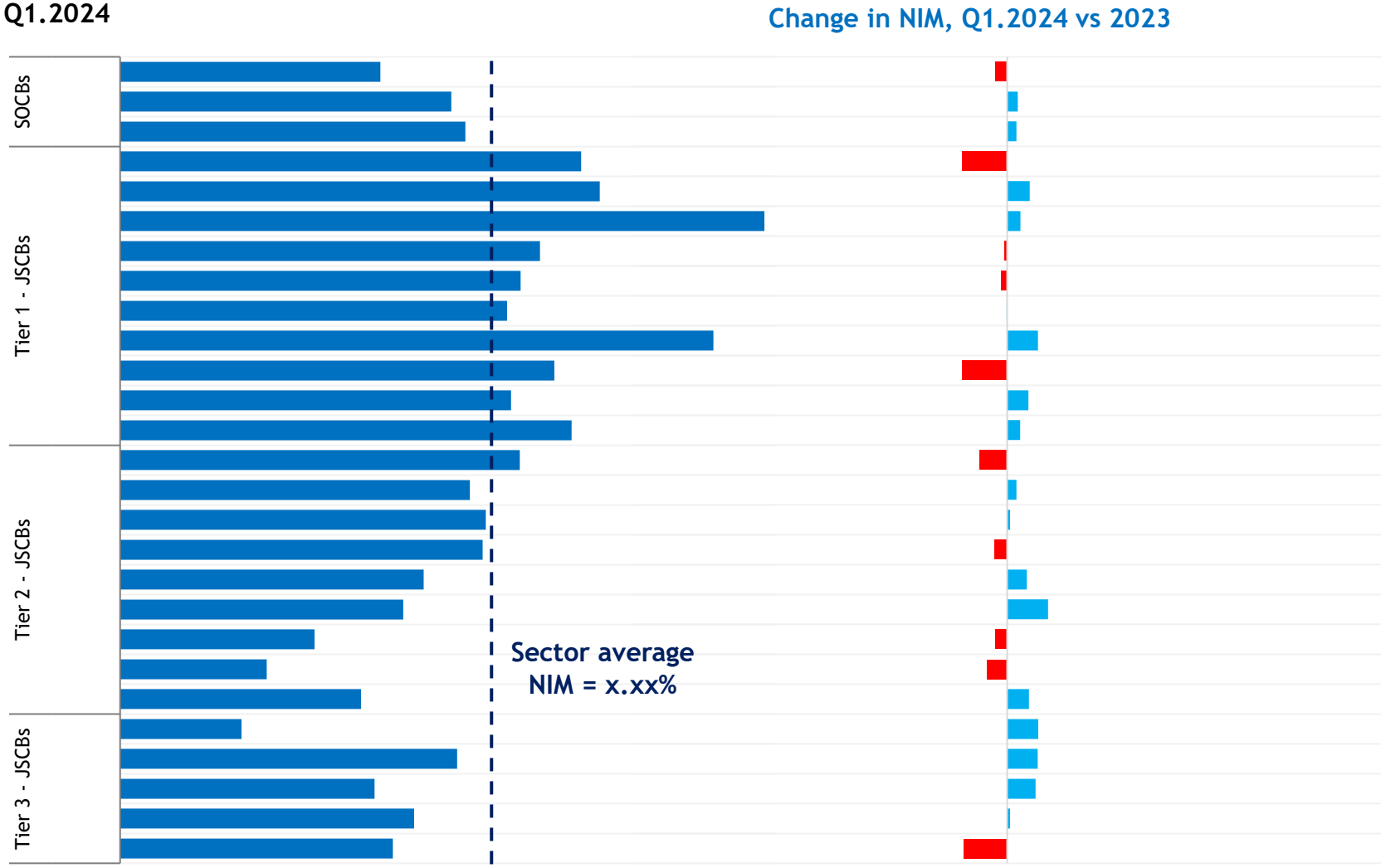


Source: FiinGroup from financial statements of 27 banks whose customer loans accounted for 75% of total outstanding credit as of March 2023.
Note: Yield on average loans and costs of funds are annualized.

Net Interest Income

NIM widely narrowed down across banks compared to last year

Figure 37: Net interest margin (NIM) of commercial banks, Q1.2024



Source: FiinGroup from 27 banks' financial statements. Tier 1 banks have a total asset exceeding VND 300trn in Q1.2024. Tier 2 banks have a total asset from VND100trn - VND300trn, Tier 1 banks have a total asset below VND300trn

Net fee & commission income

A cascade of adverse events dealt a significant blow to the banking sector, resulting in a notable decline in earnings growth across non-credit segments

Figure 38: Gross fee & commission income of listed banks (VNDtrn)

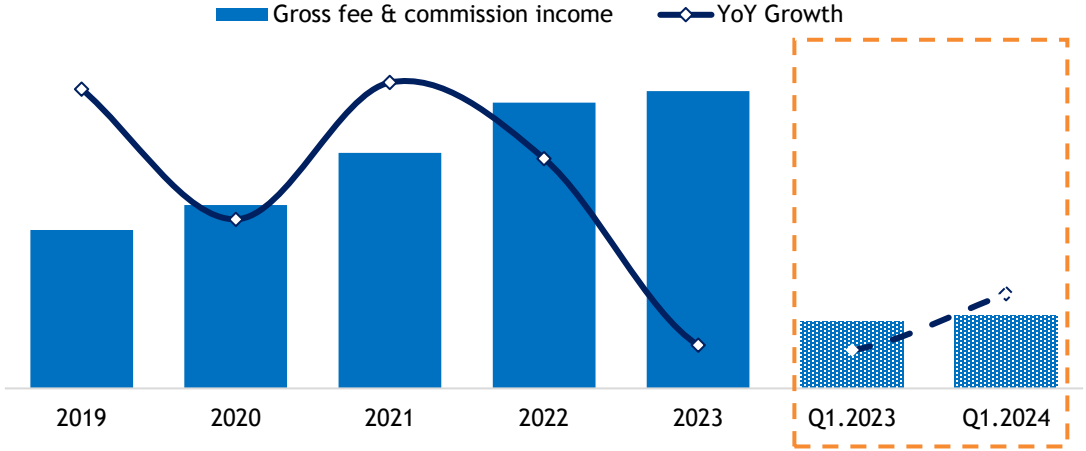


Figure 39: Composition of banks' gross fee & commission income

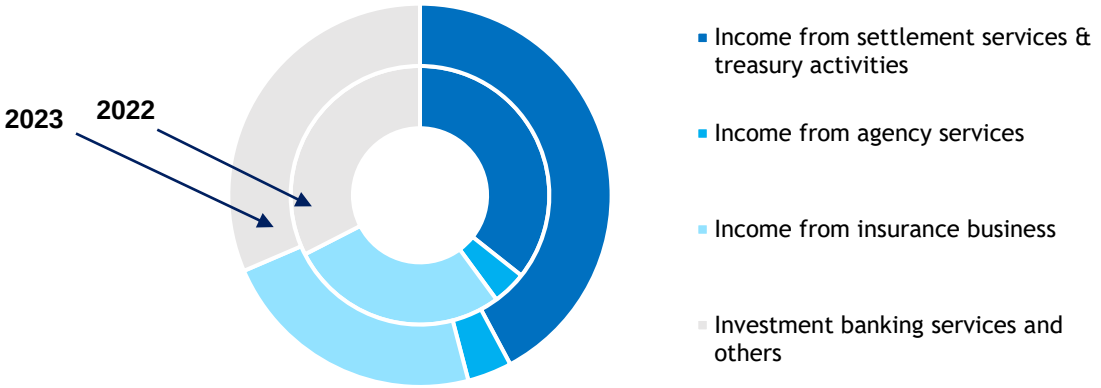


Figure 40: Gross Income from insurance business of commercial banks (VNDtrn) and YoY growth

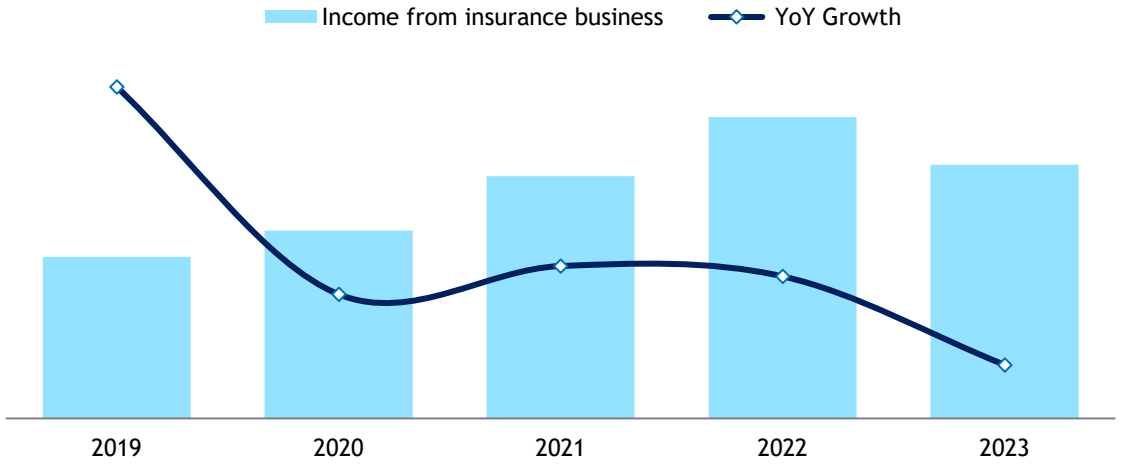
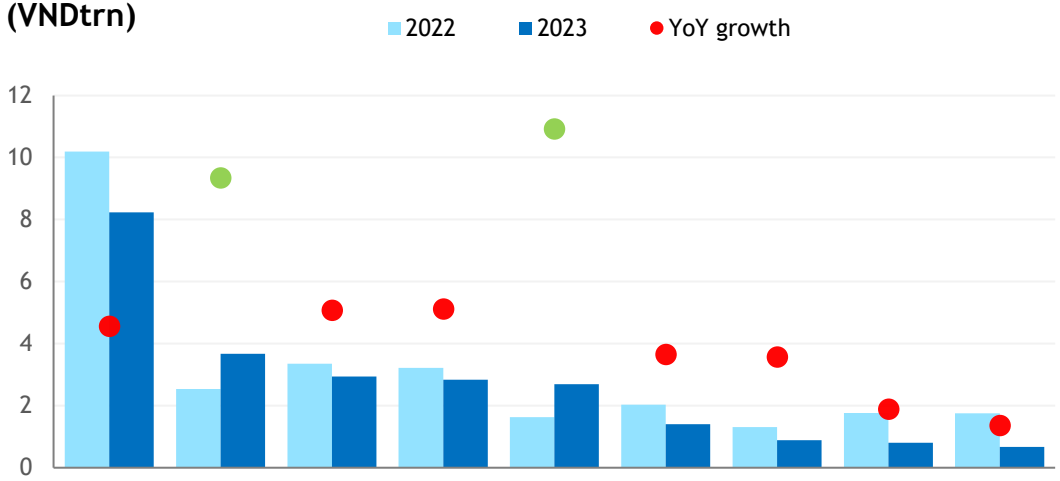


Figure 41: Gross Income from insurance business of selected banks (VNDtrn)



Sources: FiinGroup from 27 listed banks with outstanding credit accounting for 75% of total outstanding credit

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Despite concerted efforts to prioritize cost management and restrain cost growth below income growth rates, the systemic Cost-to-Income Ratio experienced a marginal uptick

Figure 42: Cost-to-income ratio of the banking system

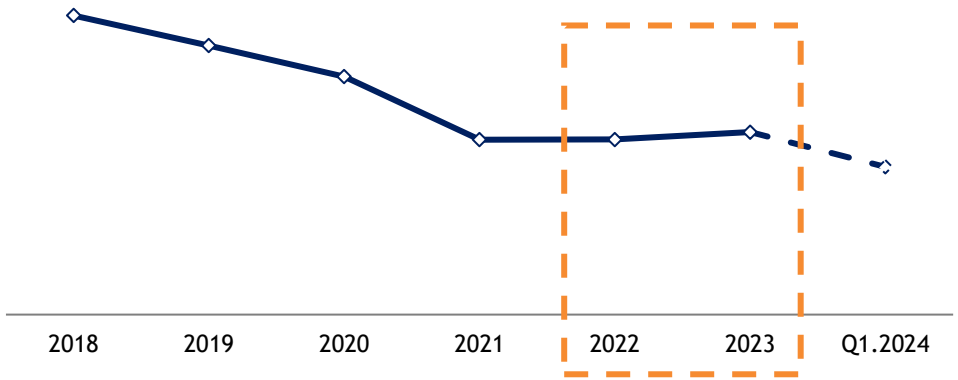
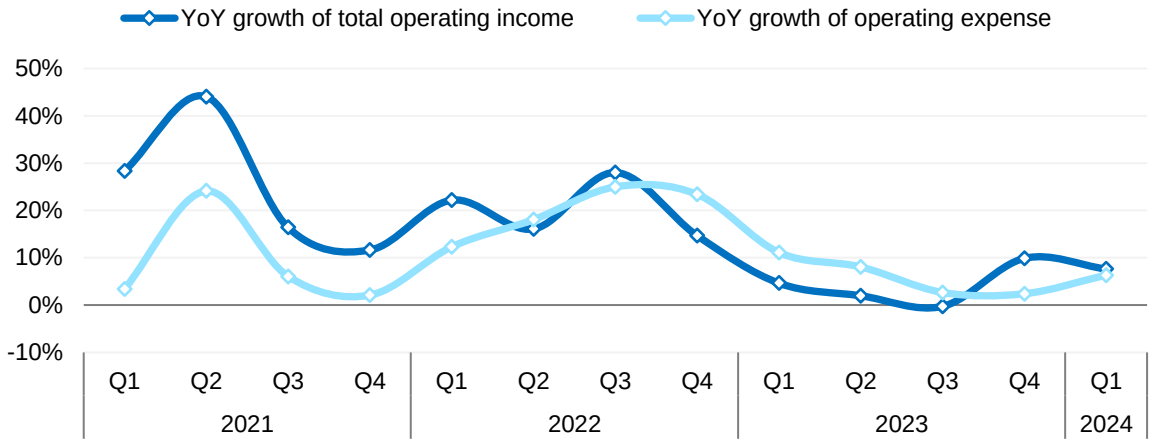
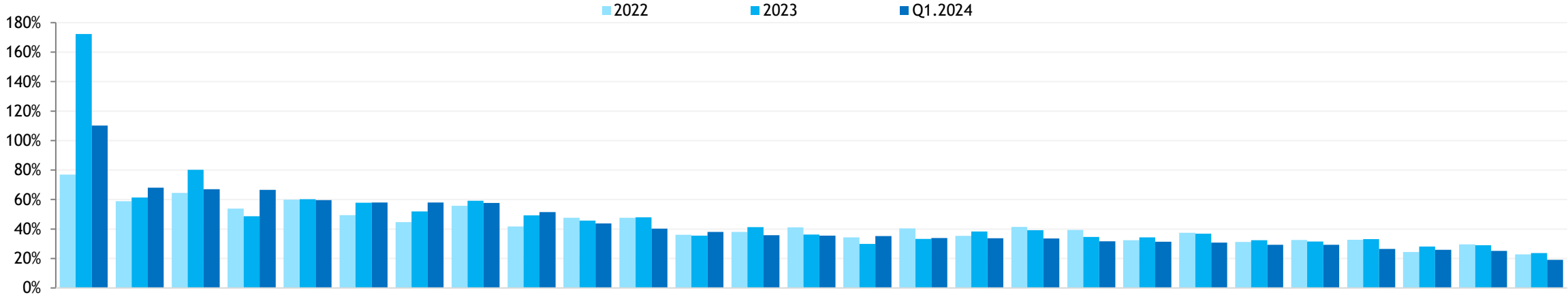


Figure 43: Operating income vs operating expenses of listed banks



Source: FiinGroup from 27 banks with outstanding credit accounting for 75% of total outstanding credit as of March 2024.

Figure 44: Cost-to-income ratio of 27 banks



Source: FiinGroup from 27 banks with outstanding credit accounting for 75% of total outstanding credit as of March 2024.

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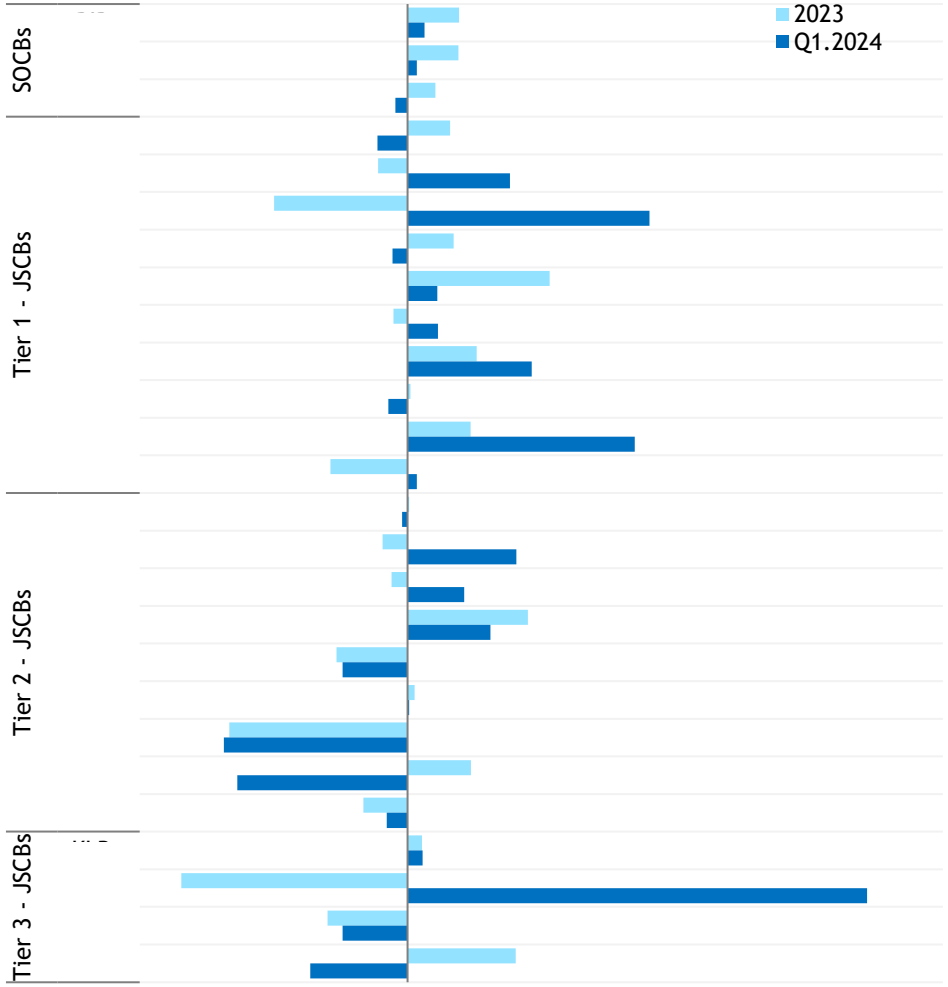
Profit after tax growth rate of commercial banks decline significantly due to challenges in both credit and non-credit operations

Figure 45: YoY growth of profit after tax (PAT) of Vietnamese banks



Source: FiinGroup from 27 banks accounting for 75% of total outstanding credit.

Figure 46: YoY growth of profit after tax (PAT) of 27 listed banks

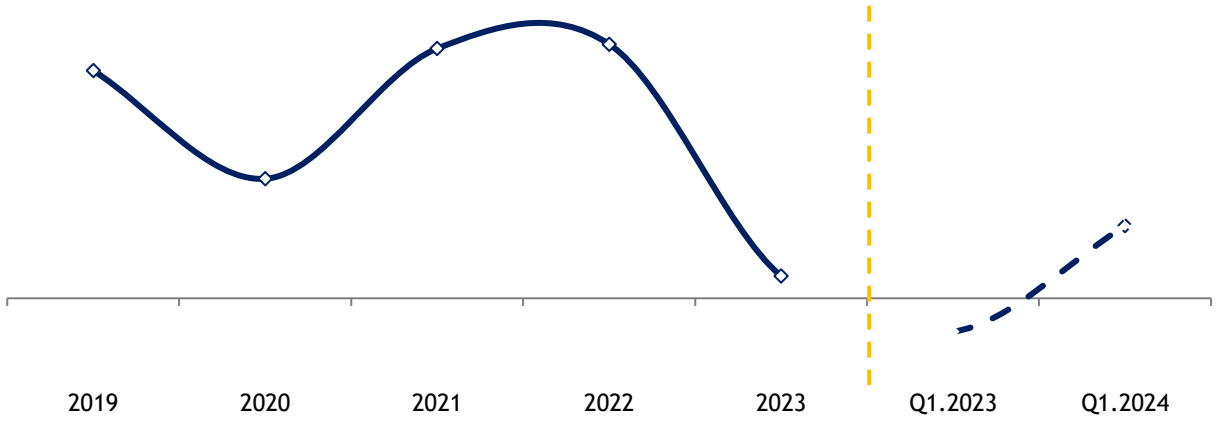
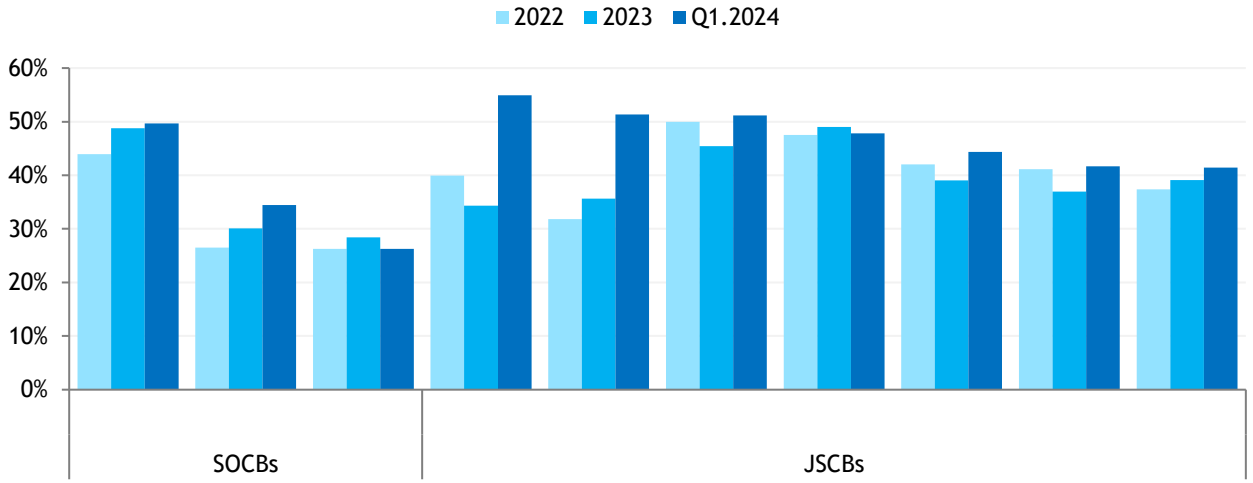


Figure 47: SOCBs & JSCBs with the highest Net Profit Margin, Q1.2024



The profitability of most banks diminished in 2023 due to the decoration of operating income coupled with a higher provision burden

Figure 48: Average ROE and ROA of Vietnamese banks

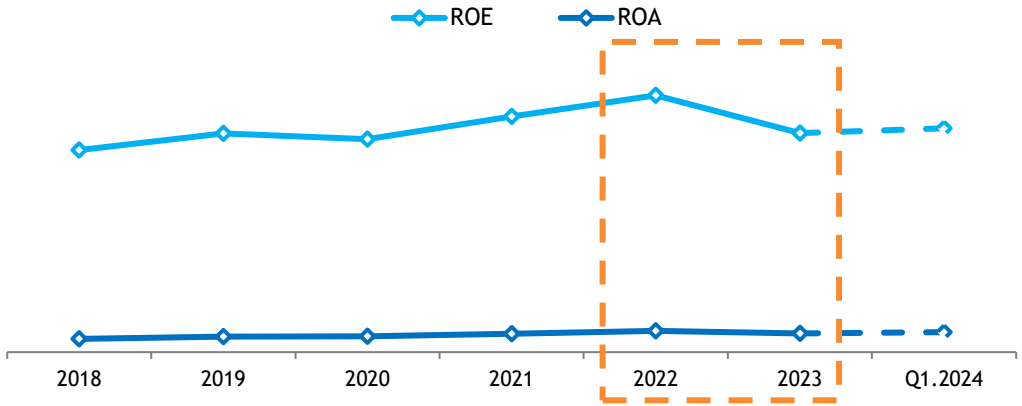


Figure 49: SOCBs & JSCBs with the highest ROE, Q1.2024

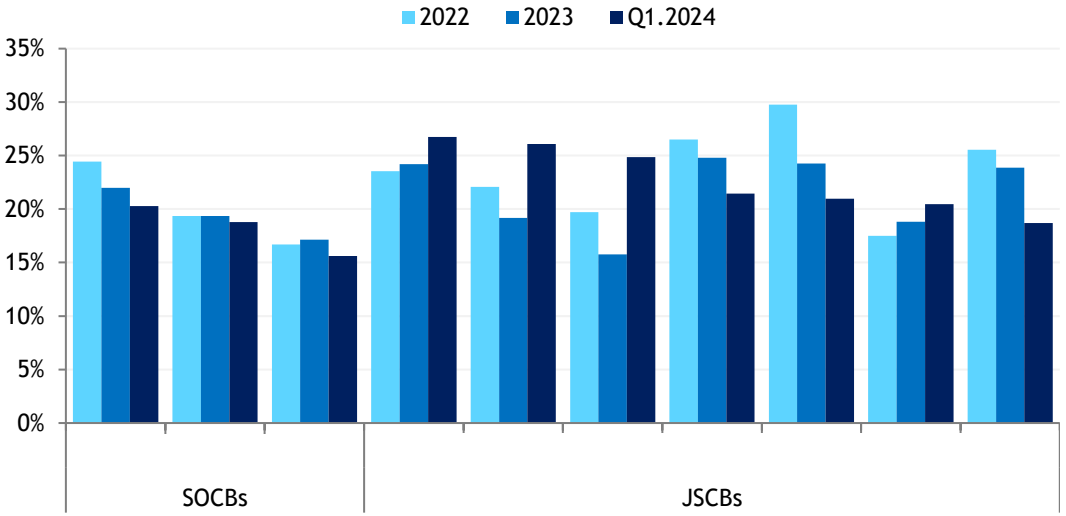
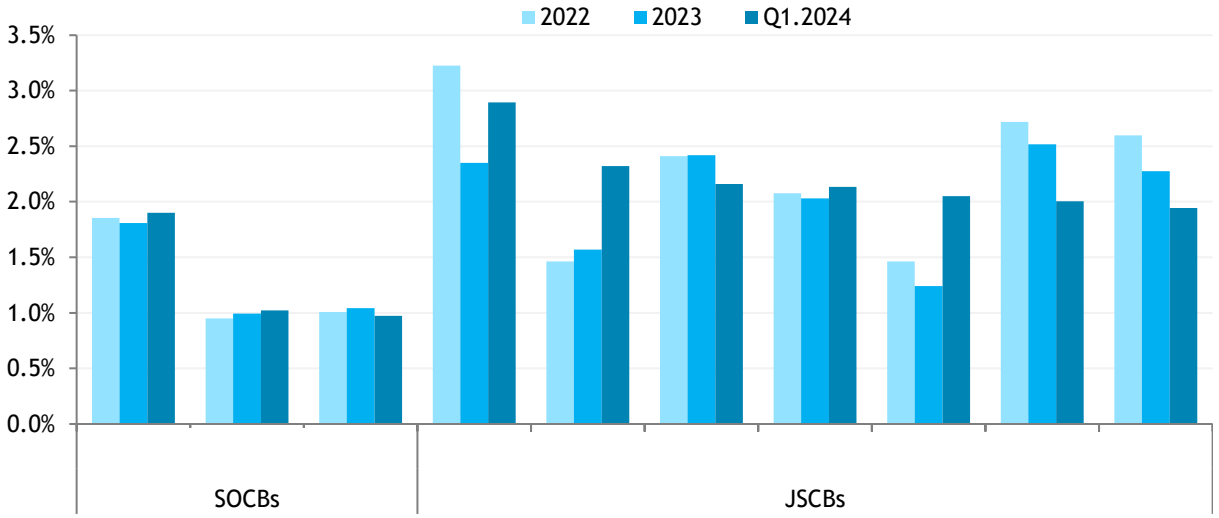


Figure 50: SOCBs & JSCBs with the highest ROA, Q1.2024



Source: FiinGroup from 27 banks accounting for 75% of total outstanding credit.

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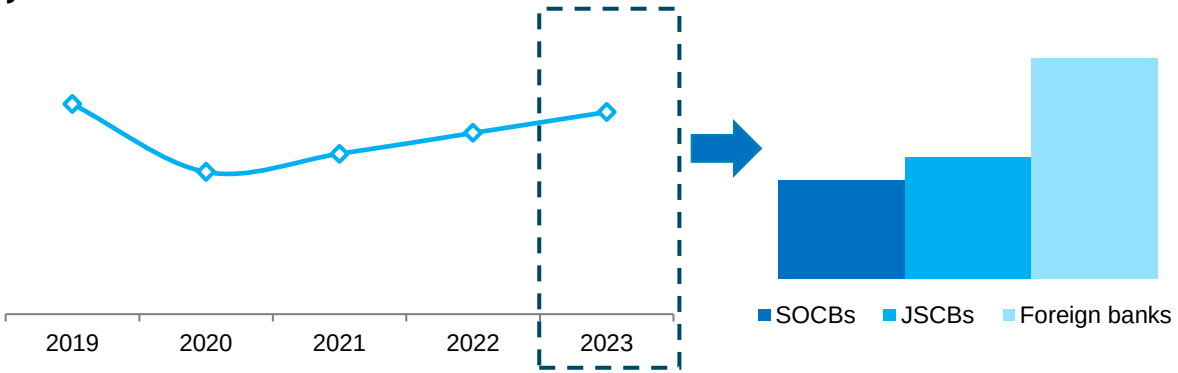
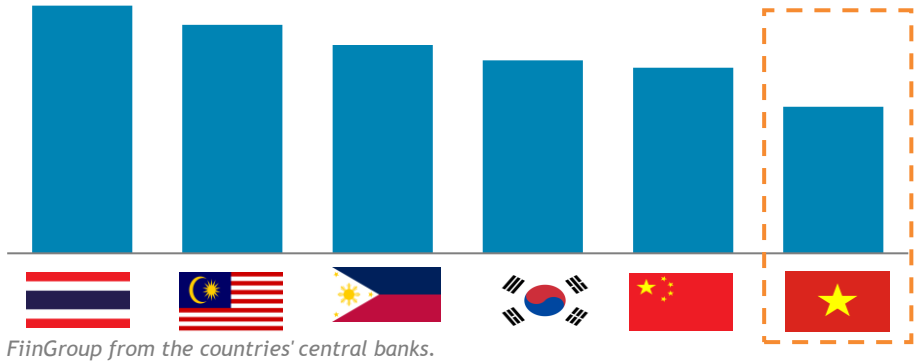
Amid challenging economic conditions and market volatility, commercial banks persist in fortifying their capital buffers to bolster resilience and navigate uncertainties

Figure 51: Capital adequacy ratio (CAR) over banking system



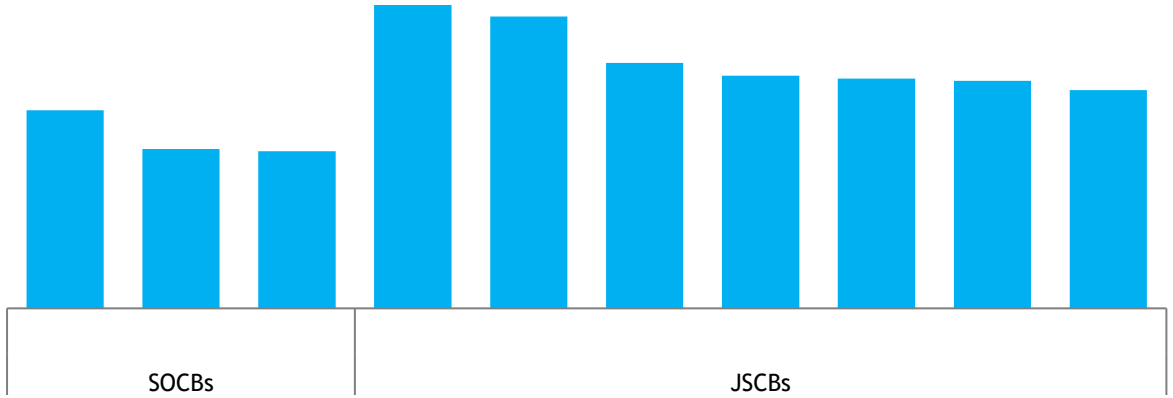
Source: FiinGroup from SBV. Note: from 2020 SBV started to announce CAR of banks applying Circular 41 (Basel II) and Circular 22 for calculation separately, so we calculated 2022 from weighted-average CAR ratios by group of banks. The weights were determined from their risk-weighted assets as reported by SBV over total.

Figure 52: Capital adequacy ratio (CAR) of APAC commercial banks, in 2023



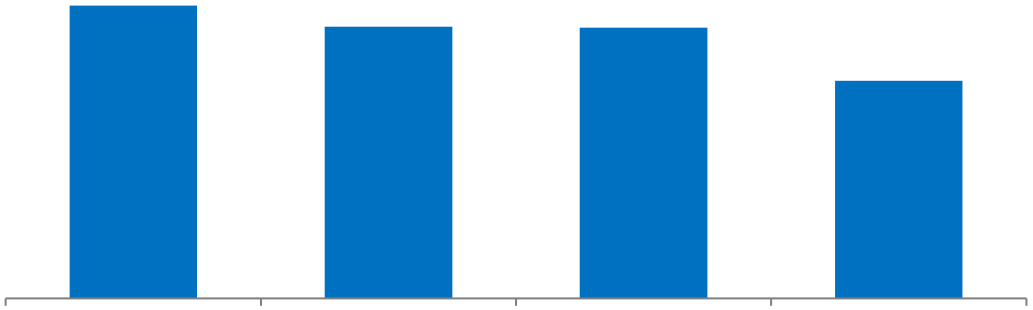
Source: FiinGroup from the countries' central banks.

Figure 53: SOCBs & JSCBs with the highest CAR, 2023 (Circular 41/2016/TT-NHNN)



Source: FiinGroup from banks' CAR announcements and investor presentations.

Figure 54: CAR of banks applying Circular 22/2019/TT-NHNN, 2022



Source: FiinGroup from banks' CAR announcements. Note: CAR's PGB, NVB and KLB are consolidated numbers. CAR's AGRB is on separated basis.

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- **The digital transformation in Vietnam is currently entering stage 3**
  Please elaborate on the following pages

- **Trend of open banking**
- **The rise of Gen AI**

- **Policy initiatives** encompassing resolutions, projects, and decrees aimed at fostering and promoting sandbox activities within 3 distinct domains: Open AI, credit scoring, and peer-to-peer lending.

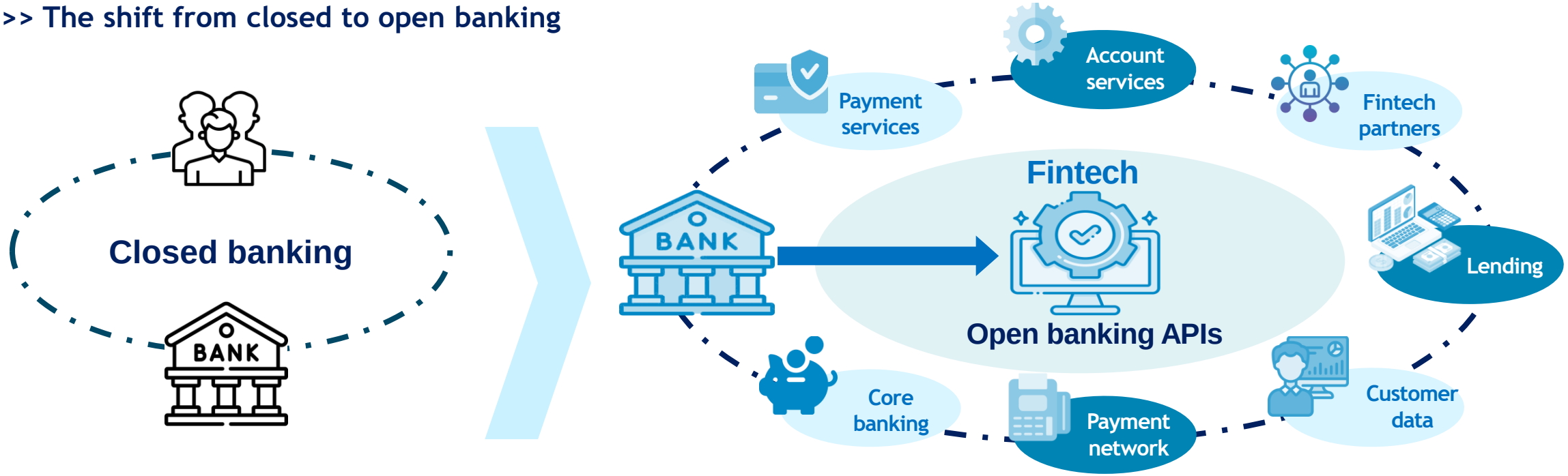
  Please find the details on the next page

Open banking

Open Banking is an inevitable innovation trend in the banking industry in the age of digital transformation

Open banking provides third-party financial service providers open access to consumer banking, transactions, and other financial data from banks and non-bank Fis through the use of APIs.

>> The shift from closed to open banking



Open banking

Open Banking attracts the investments of Vietnamese banks due to its immense potential to drive financial innovation

Benefits of open banking

Banks	Customers	3rd party providers (TPP)

Associated risks

Application in Vietnam

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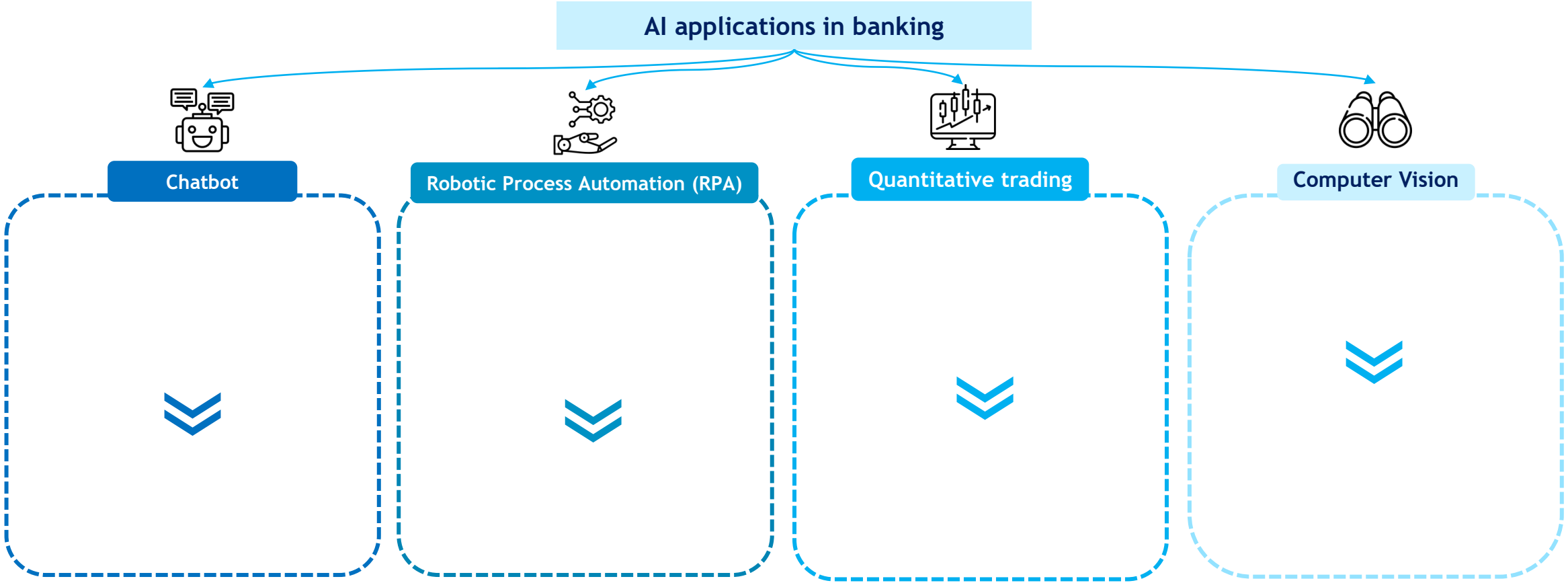
AI is the driving force behind the development of the banking industry in the coming years

- **Artificial intelligence is the simulation of human intelligence processes by machines, especially computer systems with the features:**
  - **Machine Learning (ML):** Adaptability and self-learning are intrinsic characteristics of AI, enabling them to evolve and advance with time. By processing new data and gaining more experience, AI can modify performances and continuously improve abilities
  - **Natural Language Processing (NLP):** AI can understand and respond to human language by leveraging chatbots, virtual assistants, and analysis of text data.
- **In the banking sector, AI has a range of applications driving measurable improvements in customer experience, operational efficiency, and security and compliance**



AI

AI brings opportunities for the banking industry to improve efficiency, enhance customer experience, and manage risk

Opportunities

Challenges

Generative AI has become a major trend in the banking sector

Commercial banks are accelerating using AI to optimize workflows and enhance customer experience

AI Applications of selected commercial banks in Vietnam

	Bank 1	Bank 2	Bank 3	Bank 4	Bank 5	Bank 6	Bank 7	Bank 8	Bank 9
Automated services	✓	✓	✓	✓	✓	✓	✓	✓	✓
eKYC	✓	✓	✓	✓	✓	✓ MB SmartBank	✓	✓ Live Bank	✓
Mobile Banking applications									
New Website Portal with a convenient interface	✓	✓	✓	✓	✓	✓	✓	✓	✓
Chatbot/ virtual assistant	✓	✓	✓			✓	✓	✓	
Open Application Programming Interface (Open API)	BIDV Pay Gate	iConect							
AL/ML applications	✓	✓	✓	✓	✓	✓	✓	✓	✓
Biometrics	✓	✓	✓	✓	✓	✓	✓	✓	✓
Partnerships with Fintech	✓	✓ On, Be Group	✓	✓	✓	✓	✓ One Mount Group	✓ Be group, Timo	✓
Cloud Computing	✓	✓	✓	✓	✓	✓	✓	✓	✓
Big data on IoT platforms	✓	✓	✓	✓	✓	✓	✓	✓	✓

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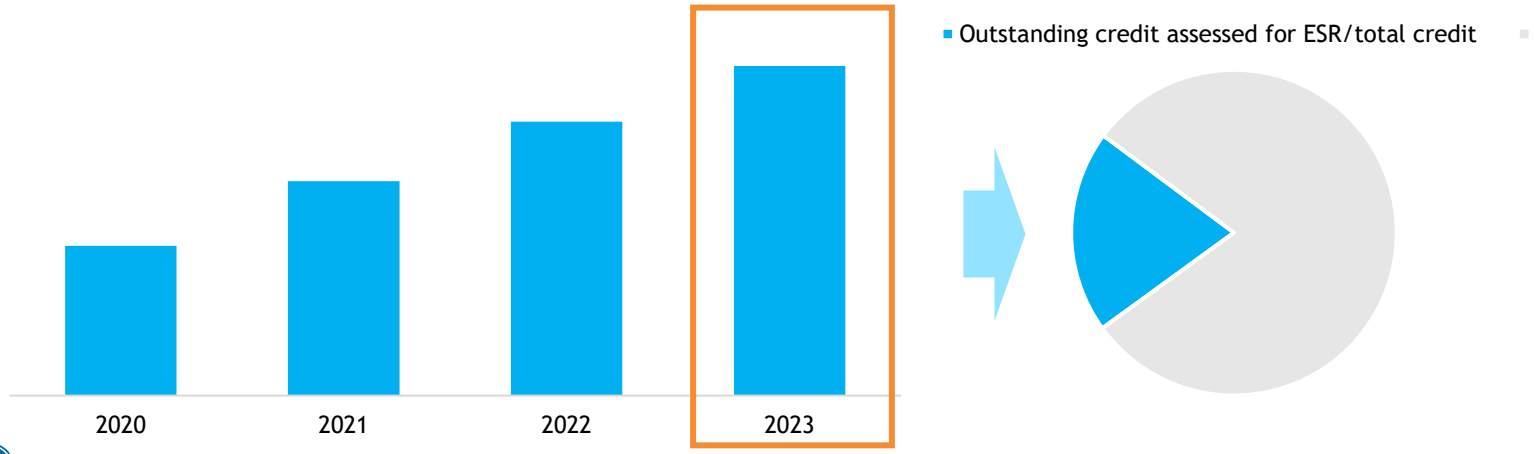
Vietnamese Government accelerates greening investment capital for sustainable development goals

Figure 55: Outstanding credit assessed for environmental and social risks - ESR

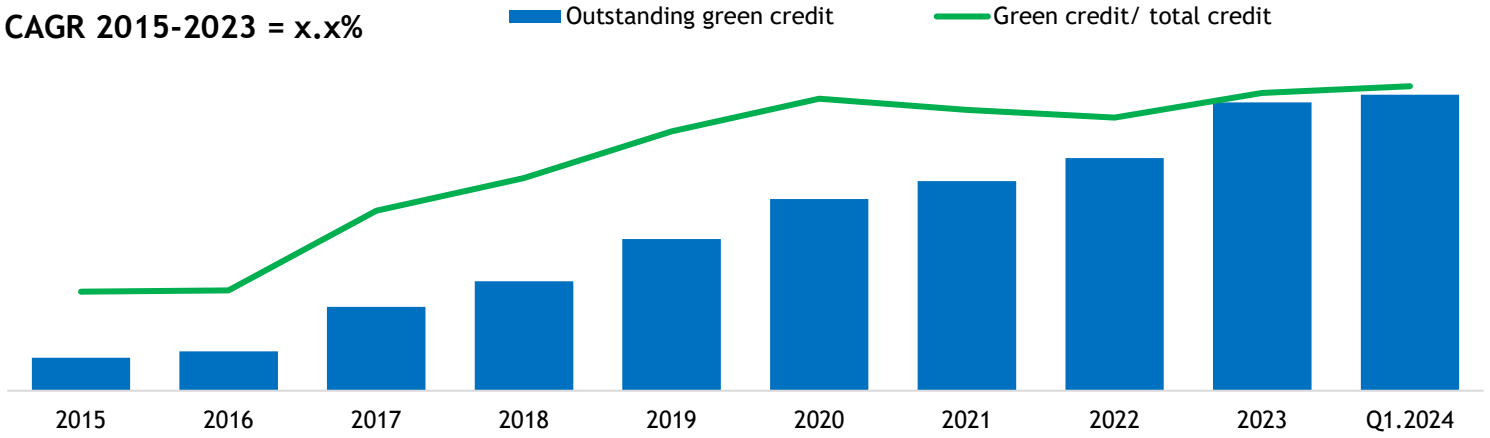


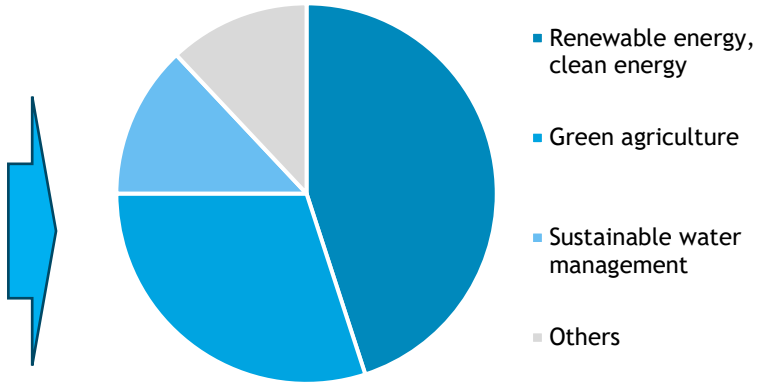
Current state

The green credit market has not yet developed in line with its potential and demand

Figure 56: Outstanding green credit (VNDtrn) and its proportion relative to total credit outstanding

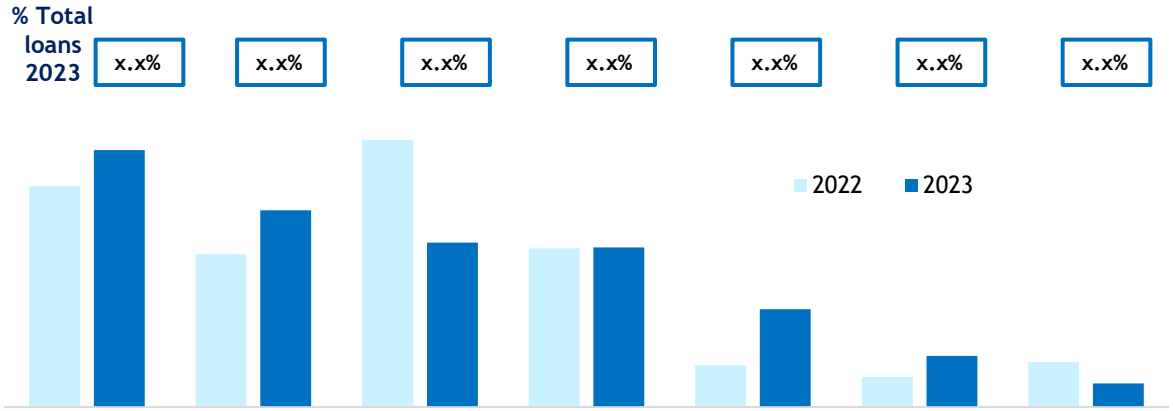
CAGR 2015-2023 = x.x%





Source: FiinGroup from SBV

Figure 57: Major players of green credit outstanding, 2023



Source: FiinGroup from banks' disclosure

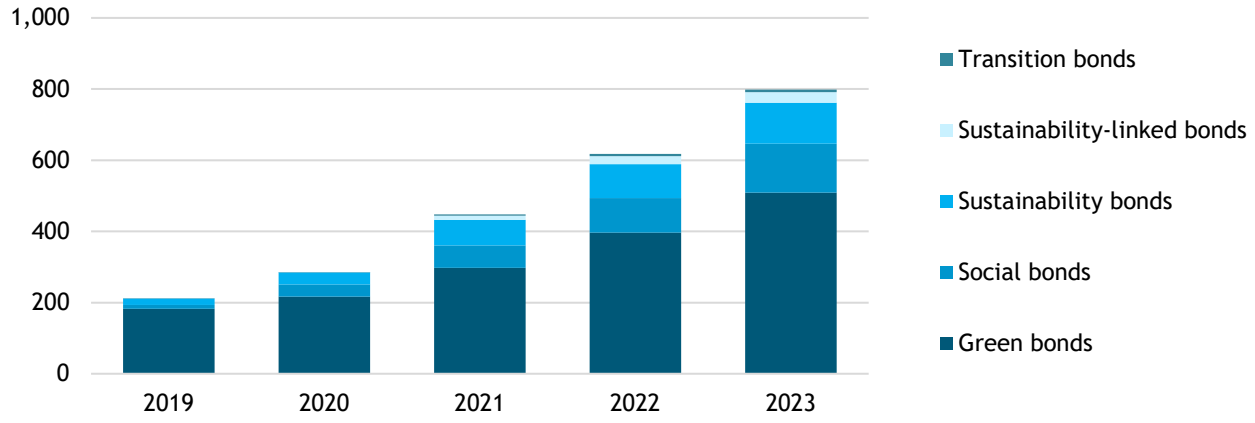
Green bonds

From 2019 - 2023, Vietnam issued **US$1.16 bn** in green bonds, incl. pilot issues for major projects in renewable energy, green transportation, and green real estate, etc.

Segment	Year of issuance	Issuer	Total amount issued (US$mn)	Term
Green				
Social and sustainability				

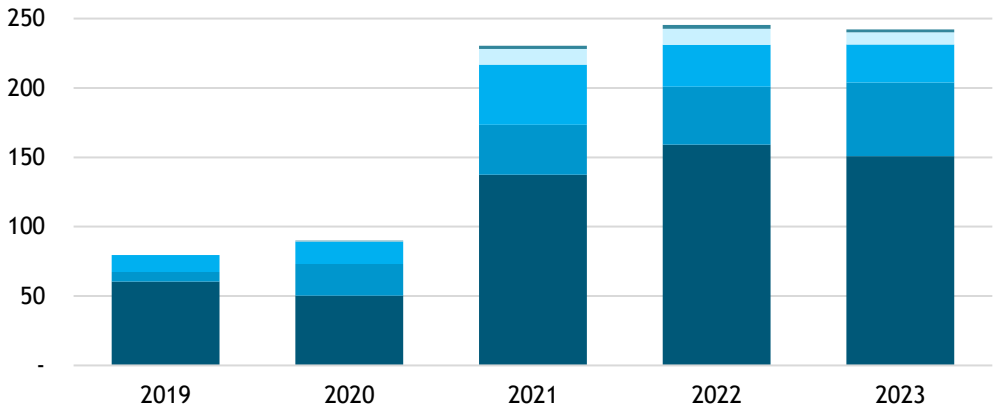
Vietnamese banks are poised to unlock the growth potential of the underdeveloped green finance market

Figure 58: Outstanding amount of sustainable bonds in ASEAN+3 markets (USDbn), 2019-2023



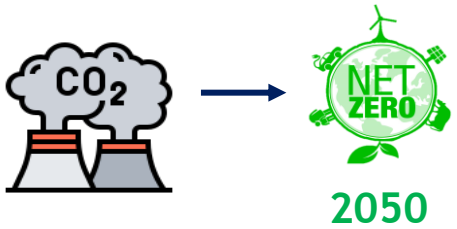
Source: FiinGroup from ADB

Figure 59: Issuance amount of sustainable bonds in ASEAN+3 markets (USDbn), 2019-2023



Source: FiinGroup from ADB

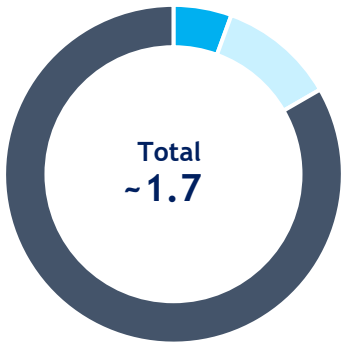
Vietnam Net-zero Plan



The structure of credit outstanding, 2023

Vietnamese banks have significant opportunities to generate substantial revenue related to ESG

Revenue sources after 2025 (US$ bn)



Main ESG-related products

Transition finance
- ESG-linked banking transactions
- Project finance
- DCM and Syndicated loans

ESG-linked capital market
- FICC
- Sale and trading of shares
- ECM and M&A

ESG-linked banking transactions
- Trade and supply chain finance
- Card products
- Deposits

Key challenges

Issuance of a green taxonomy is the most urgent task to addressing challenges and unlocking "green potentials"

CHALLENGES	SOLUTIONS
Pending issuance of the Green Classification List	Standardization and update of Green criteria & practices
Maturity mismatch & insufficient preferential policy support	Green investment attraction mechanisms and policies
Incomplete legal framework for green bonds	Boosting green certification and financial market development

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M&A deals in the banking industry are expected to be on the rise despite unfavorable market conditions

M&A DEALS IN BANKING SECTOR ON A DOMESTIC AND REGIONAL SCALE IN 2023

Regional Scale

Domestic Scale

EXPECTED M&A TRANSACTIONS IN 2024

Mandatory transfer of weak banks

Normal M&A

Section 3: Major Policy and Regulatory Framework Updates

3.1	Law on Credit Institutions 2024	59
3.2	Circular 22/2023/TT-NHNN & Circular 06/2023/TT-NHN	60
3.3	Vietnam Land Law 2024 & Law on Real Estate Business	61

Amended laws with the early interventions serve to mitigate systemic risks and foster the sustainable advancement of the Vietnamese economy

Major Policy and Regulatory Framework Updates

Regulations directly impact the operations of Cis

- Law on Credit Institutions 2024
- Circular 22/2023/TT-NHNN *(Amending Circular 41/2016)*
- Circular 06/2023/TT-NHNN *(Amending Circular 39/2016)*

Regulations indirectly affect the activities of Cis

- Vietnam Land Law 2024
- Law on Real Estate Business 2023
- Draft Decree regulating the Controlled Testing Mechanism in the Banking Sector

The coming enacted Law on Credit Institutions 2024 is expected to alleviate its operational challenges, heading to a pivotal era of regulatory enhancement and financial efficiency

TITLE	SCOPE OF APPLICATIONS	KEY ACTIONS	IMPLICATIONS
Law on Credit Institutions 2024			

Circulars 22 and 06 have revamped Circulars 41 and 39, aligning with governmental socioeconomic goals while safeguarding the viability of credit institutions for enhanced financial stewardship

TITLE	SCOPE OF APPLICATIONS	KEY ACTIONS	IMPLICATIONS
Circular 22/2023/TT-NHNN (Amending Circular 41/2016)			
Circular 06/2023/TT-NHNN (Amending Circular 39/2016)			

The new policies will be a bright spot for the real estate industry in the coming period

No	Regulations	Status	Key Actions
1			
2			
Implications:			

The issuance of a new decree to regulate Controlled Testing in banking aims to foster innovation by opening up 3 pilot domains

TITLE

Draft Decree: Regulations on the Controlled Testing Mechanism in the Banking Sector

SCOPE OF APPLICATIONS

IMPLICATIONS

KEY ACTIONS

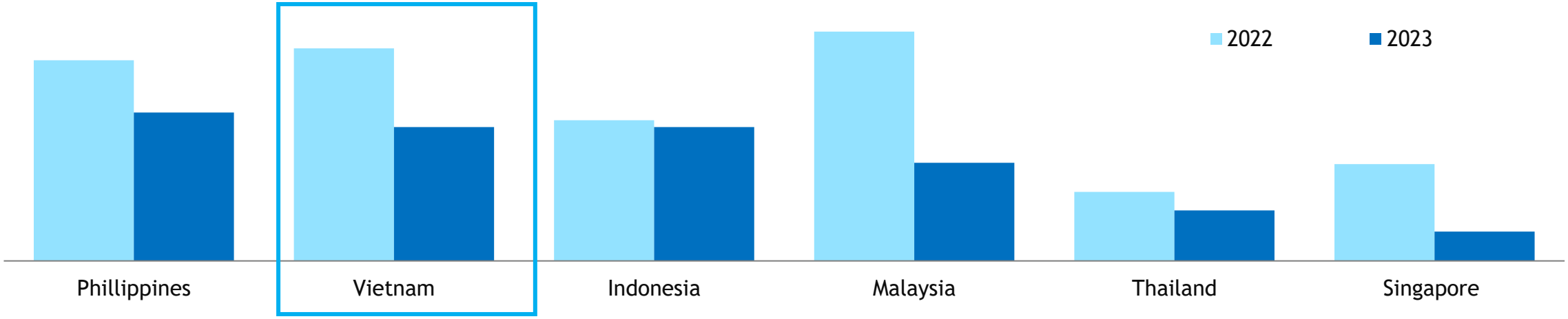
- Credit scoring
- Peer-to-peer lending (P2P lending)
- Data sharing through Open API

Section 4: Macroeconomic updates

Economic growth

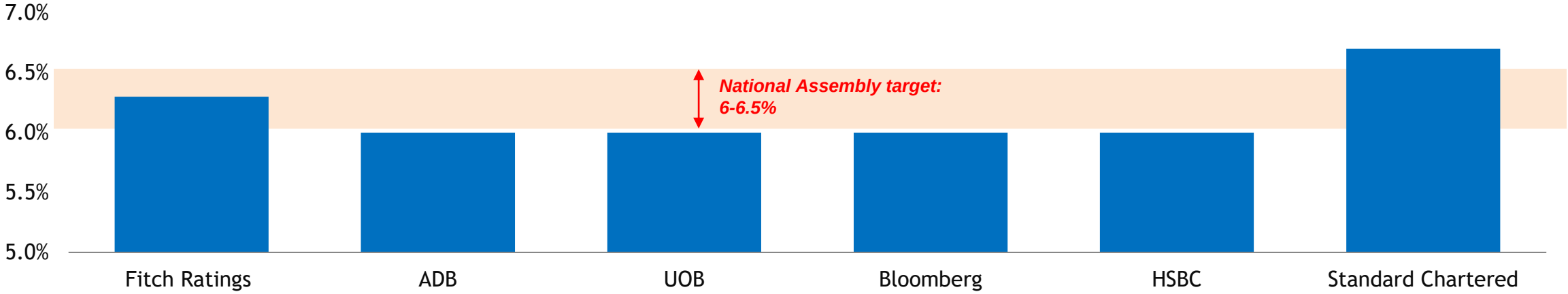
Despite challenging global economic conditions, Vietnam ranked among the countries with the highest GDP growth in the region

Figure 60: GDP growth of Vietnam compared to countries in ASEAN-6



Source: FiinGroup, GSO & official publish of ASEAN's countries

Figure 61: Vietnam GDP growth forecast 2024



Source: FiinGroup's collection

Manufacturing output and export saw recovery signs given rising new orders and improved market sentiment

Figure 62: PMI of Vietnam revealed recovery of manufacturing output thanks to improved global orders

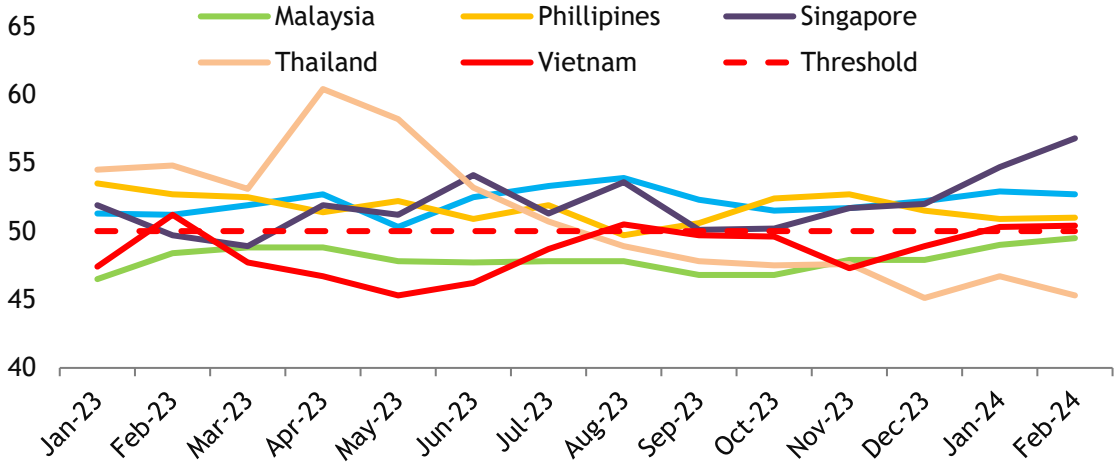


Figure 63: YoY growth of Vietnam's exports to major trade markets witnessed a rebound

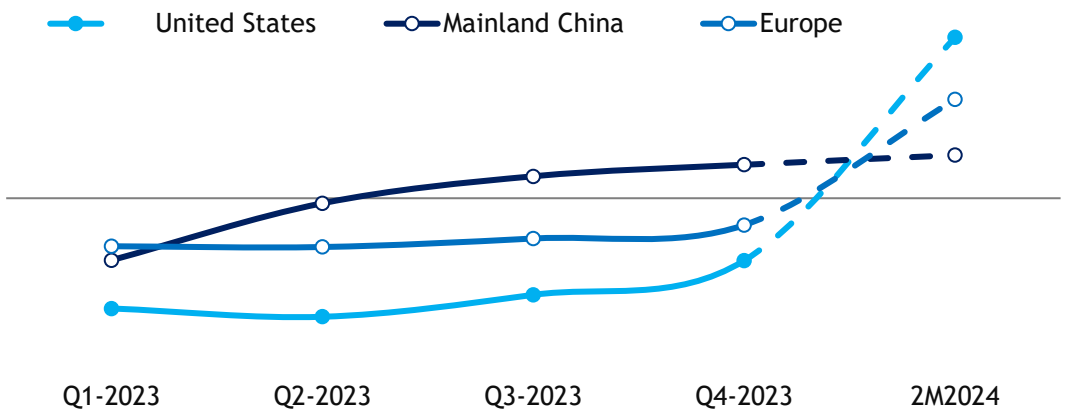
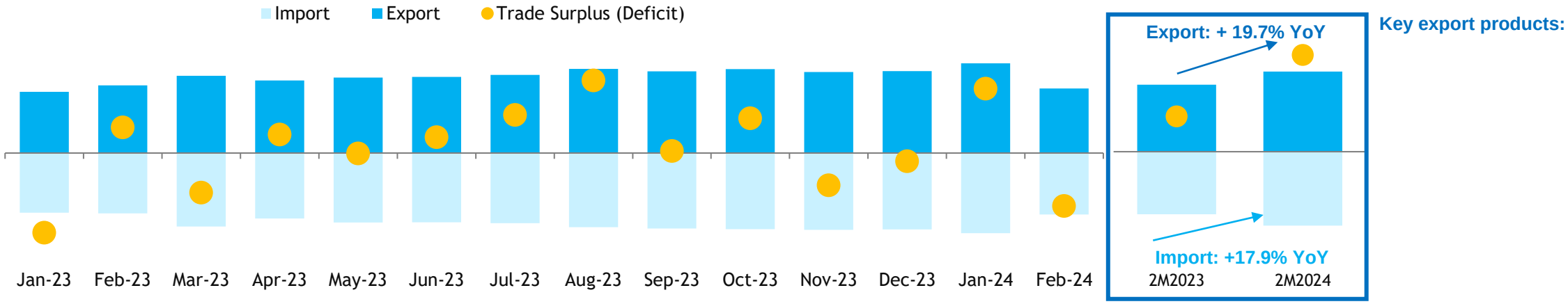


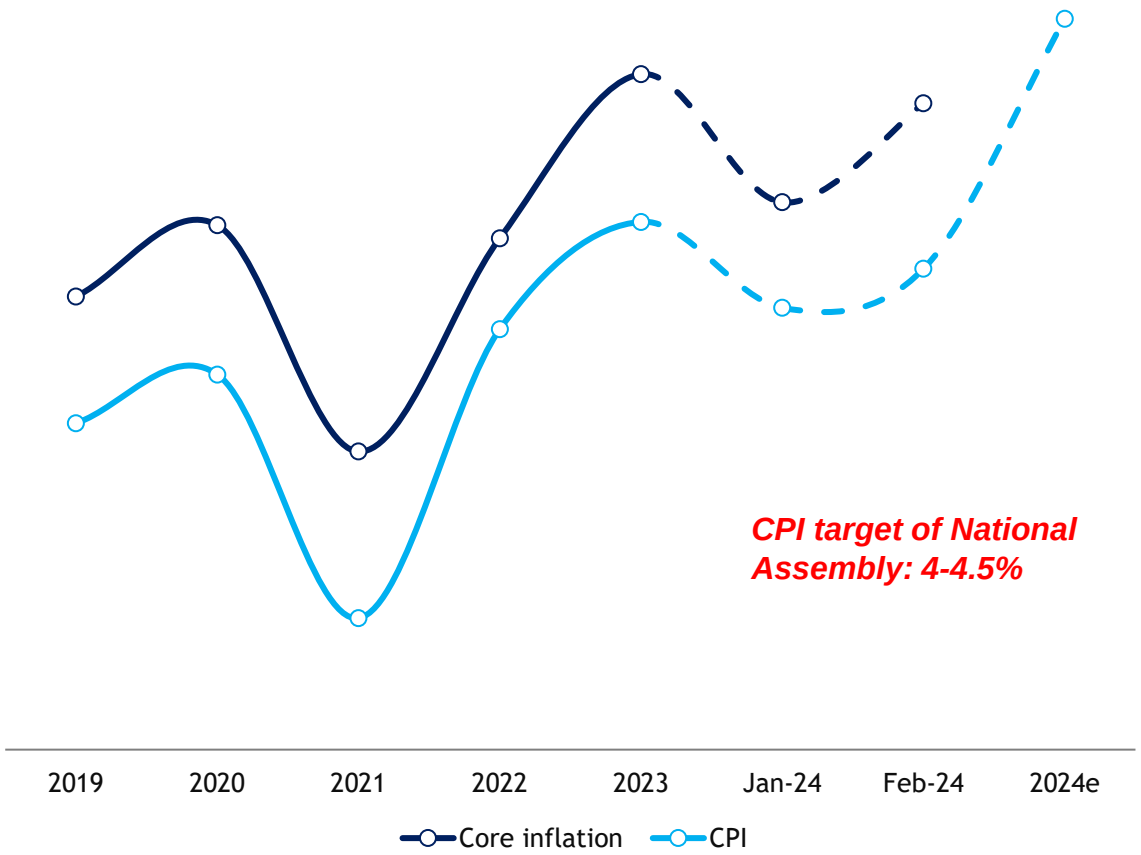
Figure 64: Import and export activities saw recovery signs in the first 2 months of 2024 thanks to resumed global demand



Source: FiinGroup, S&P Global, GSO

Inflation rate forecasted to stay below 4.5%, fueled by steady rebound of domestic consumption demand & key commodities supplies

Figure 65: Vietnam CPI and core inflation



Source: FiinGroup, GSO

Figure 66: YoY growth of retail sale

Source: FiinGroup, GSO

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ENLIGHTEN THE MARKET

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